
BLOCK 4 STRATEGIC ISSUES

The fourth and final block of the course is concerned with strategic issues in service marketing. The block consists of four units. Unit 11 describes the concept of service quality as the delivery of excellent or superior service relative to customer expectations. Service quality evaluations are made on the basis of outcomes as well as processes of service delivery, and the service quality perceptions result from a comparison of consumer expectations with actual service performance. This unit also explains “SERVQUAL” and its applications, as well as the relationship between service quality and profitability.

The unit 12, “International Trade in Services,” explains Global Trends in Services, Characteristics of Services Trade, India’s Opportunities and Constraints in the Service Sector, and gives an overview of GATS. In the digitally connected world, the service sector has expanded rapidly and has come to play an increasingly important role in national economies and in the international economy. The globalisation of services brings new opportunities and challenges for India because of the expanding importance of services in the Indian economy and the country’s emergence as a major player in sectors like software and health.

Unit 13 deals with issues related to managing demand and capacity in service organizations. Considering the fact that services are perishable, demand fluctuation is considered to be a somewhat serious problem for service marketers. The strategies for matching demand and capacity can be broadly divided into two categories: changing demand to fit supply and changing supply to fit demand. Despite strategies for matching demand and capacity being in place, waiting by customers becomes inevitable in a number of service industries. Service waits can be controlled by operations management and perception management. Finally, the unit outlines the significance of yield management and service guarantee.

The last unit of the block, “Emerging Issues in Marketing of Services,” explains the importance of self-service technologies (SSTs), customer relationship management, and the significance of customer retention for a service company’s growth and profitability. The unit further discusses the emerging issues of service marketing such as connectivity, the f-factor in marketing communication, advocacy, and mapping the customer path to purchase. Customers’ behaviour is changing as a result of connectivity and online communities in the digital age. The ultimate aim of service firms is to drive customers from awareness to advocacy.

UNIT 11 MANAGING SERVICE QUALITY

UNIT 12 INTERNATIONAL TRADE IN SERVICES

UNIT 13 MANAGING DEMAND AND CAPACITY

UNIT 14 EMERGING ISSUES IN MARKETING OF SERVICES

UNIT 11 SERVICE QUALITY

Learning Outcomes

After studying this unit, you should be able to:

- define service quality,
- identify the reasons for a different approach to service quality,
- explain the determinants of service quality,
- assess service quality models and their application,
- analyse the linkage between service quality and profitability
- measure service quality.

Structure

- 11.1 Introduction
- 11.2 Reasons for Different Approach to Service Quality
- 11.3 Service Quality Models
- 11.4 Impact of Technology on Gaps Model of Service Quality
- 11.5 Benefits of Service Quality to the Organisation
- 11.6 Measuring Service Quality
- 11.7 Communicating with Customers about Service Quality
- 11.8 Summary
- 11.9 Keywords
- 11.10 Self-Assessment Questions
- 11.11 Project Questions
- 11.12 Further Readings and References

11.1 INTRODUCTION

Quality came to the service literature at the beginning of the 1980's. This is quite in contrast to the manufacturing sector wherein quality management has a long and rich history. In the twentieth century, especially 'the second half, increasing global competition forced many manufacturing companies to develop and adopt quality management practices aimed at increasing competitiveness by eliminating waste, increasing efficiencies, reducing costs, improving customer satisfaction and involving every member of the organisation in doing so.

However, from 1980's the interest in service quality has increased tremendously. One reason why service quality is becoming an important issue is that all the developed countries as well as a number of developing countries have become service economies. As explained in Block 1, in India also service sector is the largest contributor to GDP, ahead of agriculture as well as industry sector. Another reason for the rising importance of service quality is that it is proving to be a winning competitive strategy, more and

more companies are emphasizing on providing excellent service quality in order to have a distinctive competitive advantage over their competitors in a world where establishing a long term technology based competitive advantage is becoming increasingly difficult.

The conceptualization and measurement of service quality perceptions have been one of the most debated and controversial topics in the service marketing literature.

The term 'Service Quality' has been defined in different ways. Given below are some of the definitions:

- Service quality as perceived by customers, can be defined as 'the extent of discrepancy between customers' expectations or desires and their perceptions' (Zeithaml, Parasuraman and Berry, 1990)
- Quality is whatever customers say it is, and the quality of particular product or service is whatever the customer perceives it to be (Buzzel and Gale, 1987)
- Service quality is the delivery of excellent or superior service relative to customer expectations (Zeithaml and Bitner, 1996)
- Quality of a service, as perceived by the customer is the result of a comparison between the expectations of the customer and his real-life experiences (Gronroos, 1982)

You will notice that all these definitions revolve around the fact that service quality is essentially what customers perceive. Only customers judge quality and all other judgments are irrelevant. Therefore, the ultimate aim of an excellent service quality system is to satisfy the customer's need and go beyond to delight the customers.

The principles and practices as applied to goods quality, are not sufficient for 'Service Quality'. This is because of some basic differences between goods and services with regards to how they are produced, consumed and evaluated.

11.2 REASONS FOR DIFFERENT APPROACH TO SERVICE QUALITY

You may recollect the characteristics of services that distinguish them from goods, as explained in Unit 1. This would help you in understanding the reasons for different approach to service quality, as explained below:

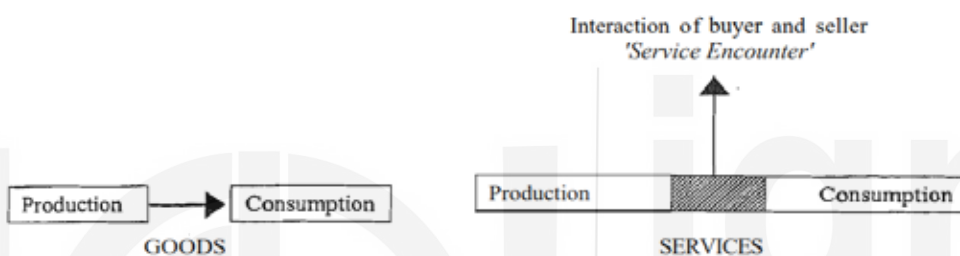
- i) Services are predominantly intangible in nature.** Since services are performances, acts and experiences, it is not possible to have exact specifications for them, unlike physical objects like automobile, machine tools, television set etc. for which exact specifications can be set and communicated. Further, services cannot be tested prior to sale to determine its quality. That means services are low in 'search qualities' - attributes that a consumer can determine before purchasing a product and stronger in 'experience qualities' - attributes that can only be discerned after purchase or during consumption. Also, there are certain services which consumers find difficult to evaluate even after purchase and consumption i.e., 'credence qualities'.

Therefore, the criteria customers use to evaluate services is more complex, thereby increasing the difficulties of marketers.

- ii) Another very important aspect requiring separate treatment of service quality is the **'inseparability' aspect of services**. The inseparability of production and consumption in services reflect the more active part required from the service provider as well as the consumer. It is in this interaction where usually the quality is judged by the customer.

The interaction between production and consumption in services as shown in Figure 11.1 may be broad e.g., restaurants or air travel or it may be thin e.g., enquiry call through telephone or mobile phone. This nature of services whereby customer often has to be in service factory makes it difficult for service providers to ensure quality before service is rendered to the customers. This is quite opposite to goods where they are engineered, produced and quality controlled prior to sending them to customer for consumption.

Figure 11.1: Buyer Seller Interactions in Services



- iii) **Services are 'heterogeneous' in nature.** The service performance may vary
- from producer to producer for the same service
 - from customer to customer even with the same producer
 - from day to day for the same producer

Therefore, ensuring consistent service quality is a big challenge to organizations.

Based on what you have studied so far in this unit you will appreciate the following underlying themes about service quality as highlighted by Parasuraman, Zeithaml & Berry (1985):

- Service quality is more difficult for the consumer to evaluate than goods quality.
- Service quality evaluations are not made solely on the basis of the outcome of service, they also involve evaluation of the process of service delivery.
- Service quality perceptions result from a comparison of consumer expectations with actual service performance.

11.3 SERVICE QUALITY MODELS

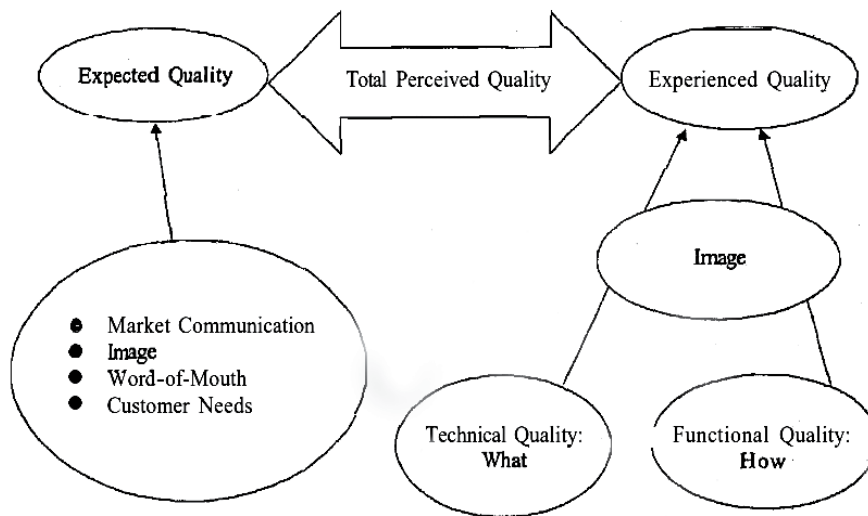
Considering the complex nature of how customers judge service quality, number of researches have been done in the area and models have been developed to explain the nature of service quality evaluation. However, two major works have received widespread attention and acceptance. The

first is the 'Nordic' perspective (Gronroos) which defines the dimensions of service quality in broad terms consisting of functional and technical quality. The second, the 'American' perspective (Parasuraman, Zeithaml and Berry) uses five service quality dimensions. The two models are discussed in detail here below:

Gronroos Model

This model suggests that the quality of a service as it is perceived by customers has two dimensions, namely, a technical or outcome dimension i.e., what the customers get and a functional or process related dimension i.e., how the process and service encounter are perceived. These two have been termed as 'technical quality' and 'functional quality'. Technical quality refers to the outcomes of interactions with the service provider that the customer receives. While the expressiveness with which the service is delivered and how the consumer responds reflect the service's functional quality. For example, a restaurant customer will judge the service on the basis of his perception of the food (what is being delivered-technical quality) as well as how the food was served (functional quality). A patient will judge the services of a hospital not only on the basis of cure element (technical quality) but on care element (functional quality) as well. Gronroos postulated that as long as the outcome or the technical quality is acceptable, the process dimension, or functional quality, frequently may be more critical to consumer's overall quality perception. Also, in certain cases the technical quality or the outcome may be difficult for the customers to judge (remember credence quality referred earlier in this unit) and in such cases the quality perceptions will be based to a large extent on functional quality. The quality perception process includes much more than just the two dimensions of service quality. Good perceived quality is obtained when the experienced quality meets or exceeds the expectations of the customer, that is, the expected quality. This means that even if the experienced quality is good, the total perceived quality may still be low, if the expectations of the customers are very high or unrealistic. Conversely, the total perceived quality may be high even if experienced quality is not very good, if the customer has very low expectation. Fig 11.2 brings about the perceived service quality model.

Figure 11.2: Gronroos Perceived Service Quality Model



The image of the company doesn't only have an impact on the expected quality but also on perception of the quality experienced. It works as a filter i.e., if the image of the service provider is good in the minds of the customer, minor errors or mistakes are likely to be overlooked and conversely if the image is negative the impact of a mistake is likely to be greater than it otherwise would be. The model suggests that the total perceived quality is not determined by the level of the technical and functional quality dimensions only, but rather by the gap between the expected and experienced quality.

The expected quality depends on a number of factors like market communication, image, word of mouth communication, corporate image and customer needs, few of which are directly under firm's control and others only indirectly controlled, Factors under firm's direct control include advertising, direct mail, public relations, sales campaign etc. (i.e, market communication) whereas factors like image, word-of-mouth and customer needs are not directly under firm's control but can be influenced. The marketers should understand from this not to overpromise. Delivering on promises is an important aspect of perceived service quality. Also, it should be appreciated that customer expectations are not static but keep on changing over period of time.

Activity 1

Consider the following services and identify the Technical Quality and Functional Quality elements

- | | |
|-------------|-------------------|
| a) Airlines | b) Retail Banking |
| c) Hotels | d) Health Care |

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Gaps Model of Service Quality

Parasuraman, Zeithaml and Berry (PZB) have done extensive work in the area of service quality. According to them Perceived Service Quality can be defined as 'the extent of discrepancy between customers' expectations or desires and their perceptions. Put simply, Perceived Service Quality = Perceived Service - Expected Service. Based on their research work, they identified that customers consider five dimensions in their assessment of service quality, as given below:

Reliability: Ability to perform the promised service dependably and accurately (example: flights depart and arrive on schedule).

Responsiveness: Willingness to help customers and provide prompt service (example: no waiting at the hospital).

Assurance: Employee's knowledge and courtesy and their ability to inspire trust and confidence. (example: knowledgeable mechanics at auto service centre).

Empathy: Caring, individualized attention given to customers (example: specific type of room provided to the guest based on his previous stay, acknowledges customer by name).

Tangibles: Appearance of physical facilities, equipment, personnel and written materials (example: seating and air conditioning in a theatre).

Of the five dimensions, reliability is considered to be the most important one. It refers to the company delivering on its promises. In a competitive market place, it is absolutely essential for a firm to be reliable in order to attract customer loyalty. Assurance dimension is likely to be of great importance in case of services perceived to be of high risk by the customers or services which are rich in credence qualities e.g., health services. Tangibles may be given great importance by new customers to judge service quality especially when other cues may not be available. By focusing on empathy, a service company can make the customer feel unique and special whereas responsiveness dimension emphasizes promptness in dealing with customer's requests, complaints or problems.

PZB further focused on finding the deficiencies within companies that result in poor quality perceptions by customers. The reasons for gap between customers' perceptions and expectations (Gap5 - Customer Gap) were identified as;

Provider Gap 1: Not knowing what customers expect (The listening gap)

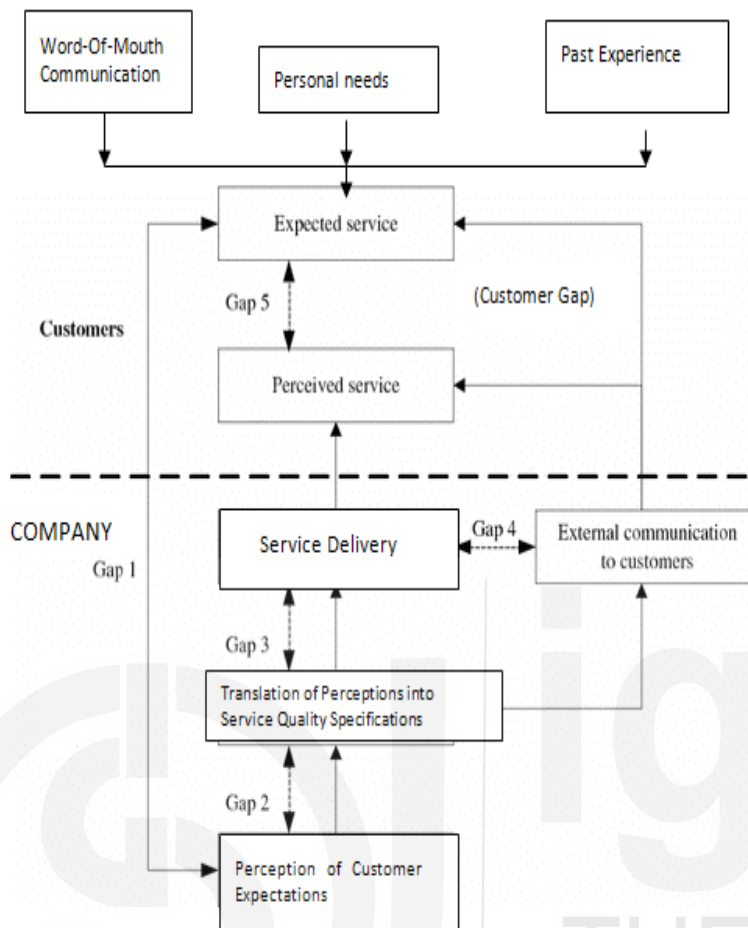
Provider Gap 2: Not selecting the right service designs and standards (The service design and standards gap)

Provider Gap 3: Not delivering the service standards (The service performance gap)

Provider Gap 4: Not matching performance to promises (The communication gap)

Based on the above, a gap analysis model was developed as shown in Figure 11.3.

Figure 11.3: Gaps Model of Service Quality (PZB)



1. **Provider Gap1: Not knowing what customers expect:** This gap is the difference between customer expectations of service and company understanding of these expectations. Service firm's executive may not always understand what features connote high quality to consumers in advance, what features a service must have in order to meet customer needs and what levels of performance on those features are needed to deliver high quality service.
2. **Provide Gap 2: Not selecting the right service designs and standards:** A company might correctly perceive the customers' needs but may not set a specified performance standard. This may occur because management sometimes believes that customer expectations are unreasonable or unrealistic. Also availing of other factors like resources constraints, market conditions and/or management indifference - may result in discrepancy between company perception of consumer expectation and the actual specification established for a service.
3. **Provider Gap 3: Not delivering the service standards:** This is the gap between service quality specifications and actual service delivery. Even if there are customer driven service standards, a high-quality service delivery is not a certainty. The main reason for this gap is involvement of human beings in the service delivery - especially the

role of contact personnel. The variability in employee performances makes it hard to maintain standardized quality. Failure to match demand and supply, customers not fulfilling their roles and problem with service intermediaries may also result in creating this gap.

4. **Provider Gap 4: Not matching performance to promises:** This is essentially a gap between what you deliver and your external communication. Media advertising and other communication by a firm can affect consumer expectations. Therefore, a company must be certain not to promise more in communication that it can deliver in reality. Promising more than what can be delivered will raise initial expectations but lower perception of quality when the promises are not fulfilled.

In order to bridge the gap between customers' perceptions and expectations, the provider gaps 1 to 4 are required to be filled. The key contributing factors leading to Provider Gaps and strategies to reduce the gaps have been highlighted below.

GAP	CAUSES OF GAP	STRATEGIES TO REDUCE GAP
Gap 1	● Lack of marketing research orientation ● Inadequate upward communication ● Too many levels of management	● Communication with customers ● Conduct marketing research ● Encourage upward communication
Gap 2	● Inadequate management commitment to service quality ● Perception of infeasibility ● Absence of goal setting ● Absence of customer-driven standards ● Resource constraints	● Top management commitment ● Develop Service Quality goals ● Standardization of tasks ● Address feasibility of customer expectations
Gap 3	● Deficiencies in human resource policies ● Failure to match supply and demand ● Customers not fulfilling roles	● Teamwork, Empowerment, Role clarity, Training ● Synchronize demand & capacity ● Communicating with customers
Gap 4	● Overpromising ● Ineffective management of customer expectations ● Inadequate horizontal communication	● Avoid propensity to overpromise ● Increase horizontal communication ● Managing customer expectations

The Gaps Model thus helps in finding out the reasons for the quality problems and the ways to close the gaps.

Activity 2

Choose any service organization you are familiar with and using the gaps model of service quality identify the gaps the organisation suffers from and the possible reasons for these gaps.

11.4 IMPACT OF TECHNOLOGY ON GAPS MODEL OF SERVICE QUALITY

Innovations in information and communication technologies (ICT) and digitalisation have profoundly influenced the nature and scope of services, service delivery, and service management practise. Internet-based services from remote locations, online communication channels, social media, and self-service technologies (such as ATMs, self-ticket booking, and so on) all have an impact on the gaps in the service quality model that we discussed in the previous section. Let-us describe the impact of technology on gaps model of service quality.

Impact on Customer gap 5

Self-service technologies have transformed the delivery process of many services, resulting in greater accessibility and globalisation of services that can now be delivered and consumed by customers at any time and from any location. For example, a selfie can be taken with a cell phone camera and shared on social media platforms such as Facebook, Twitter, and Instagram for global exposure. Customers can now make purchase decisions using online search tools. Customers, for example, can compare the prices and features of competing brands online before placing a purchase order. Due to a lack of information, it was previously difficult to compare services as easily as tangible goods.

Impact on provider gap 1

The availability of online communication channels enables service providers to get to know their customers better. Firms, for example, can solicit feedback by posting information about products or services on their social media platforms. Similarly, if a customer's question on social media is promptly answered, the whole group of customers will believe that the company is attentive to their concerns.

Impact on provider gap 2

With the help of technology-enabled online tools, highly standardised and customised services can be provided. For example, a desired book can be searched and ordered online at any time and from any location, payment can be made online, and delivery status can be tracked online at the convenience of the individual customer. Purchasing books from bookstores did not previously provide this level of service convenience and experience.

Impact on provider gap 3

Customer participation in the service process has been facilitated by technological advancements such as the use of artificial intelligence from the pre-purchase to post-purchase stages. For example, the use of chat bots by service providers aids in the provision of answers to many frequently

asked questions raised by customers at various stages of the service process. You can select your entertainment package for direct to home (DTH) TV at flexible rates, and you can watch movies or your favourite shows on OTT platforms on your mobile or laptop.

Impact on provider gap 4

The possibilities for highly targeted communications have expanded with the advent of internet and online communication channels such as the firm's websites, online and mobile advertising, mobile apps, social media, and podcasting. In addition to the traditional communication channels of advertising, public relations (PR), publicity, and personal selling, service firms can use blogs, targeted e-mails, and customer communities to communicate with their customers. Furthermore, these new channels are no longer just options for service providers to consider; customers are increasingly expecting them as a means of communication.

Activity 3

Discuss the impact of technological advancement on the gaps identified for your chosen service organisation in Activity 2

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11.5 BENEFITS OF SERVICE QUALITY TO THE ORGANIZATION

A good or excellent service quality would result in customer satisfaction or customer delight. But how does it have a positive impact on the bottom lines of the companies. Broadly, this may be categorized into two parts. One is the improved ability of the firm to attract new customers - either through positive word of mouth or due to advertising of its superior quality offering. Secondly, its ability to retain existing customers, who feel satisfied with the service offering and become repeat customers. This would ultimately help in greater revenues and profits. In fact, the positive relationship between perceived quality and profitability has been documented empirically. Buzzell and Gale in 'The PIMS (Profit Impact of Marketing Strategies) Principles' (Free Press, NY, 1987), have mentioned that in the long run, the most important single factor affecting a business unit's performance is the quality of its products and services relative to those of competitors.' A quality edge boosts performance in two ways; in the short run, superior quality yields increased profits via premium prices and in the longer run, it is the more effective way for business to grow. Quality leads to both market expansion and gains in market share.

PZB in their research have found out relationship between customers' perception of the quality of service rendered by a company and their willingness to recommend the company to their friends. There was a dramatic difference between the quality perception of customers who would and those who would not recommend their service companies to their friends. The

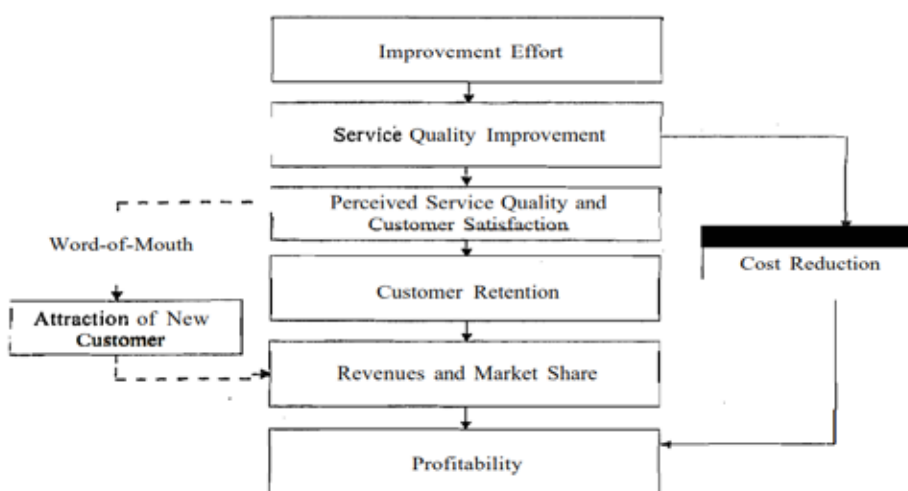
customers who showed their intention to recommend had a significantly high score of perceived service quality than those who mentioned that they would not recommend (scores of - 0.5 and - 2.3 respectively).

A summary of results of some of the researches which prove a positive relationship between service quality and profitability is given below. (Extracted from Zeithaml, Berry and Parasuraman, "The Behavioural Consequences of Service Quality", Journal of Marketing, Vol. 60, April 1996, pp 31-46)

- Companies offering superior service achieve higher than normal market share
- Mechanism by which quality influences profits include increased market share and premium prices.
- Business in the top quintile of relative service quality on average realize an 8% higher price than their competition.
- The Hospital Corporation of America found a strong link between perceived quality of patient care and profitability across its many hospitals.
- Improved service quality increases favourable behaviour intention and decreases unfavourable intention of customers. Behavioural intention can be viewed as indication that signal whether customer will remain with or defect from the Company.
- Ford Motor Company has demonstrated that dealers with high service quality scores have higher than normal profit, return on investment and profit per new vehicle sold.
- Positive and significant relation exists between customers perception of service quality and their willingness to recommend the company.
- Positive co-relation exists between service quality and repurchase intention and willingness to recommend.

Rust, Zahorik and Keiningham have developed a model showing relationship between service quality improvement and profitability as shown in Figure 11.4.

Figure 11.4: A Model of Service Quality Improvement and Profitability



Source: *Return on Quality: Making Service Quality Financially Accountable*, Rust, Zahorik and Keiningham, *Journal of Marketing*, April, 1995, p-60

The model shows relationship between the two as a chain of effects. A successful improvement effort results in an improvement in service quality which in turn results in increased perceived quality and customer satisfaction and probably reduced costs. Increased customer satisfaction in turn leads to higher level of customer retention and also positive word of mouth. New customers attracted by positive word of mouth coupled with retention of existing customers result in higher revenues and market share. The increased revenues combined with the decreased costs, lead to greater profitability. The effect of word of mouth, which is difficult to measure in practical business situation, is thus shown in dotted lines.

The biggest responsibility for a good service quality system rest with the management of the organization. It should establish a policy for service quality and customer satisfaction. Successful implementation of this policy depends upon management commitment to the development and effective operation of a quality system. It should also provide sufficient and appropriate resources to implement the quality system and achieve the quality objectives. The resources include personnel as well as material resources. Human resources play an extremely critical role in service firms and therefore proper attention has to be given to employee motivation, training and development. Regular communication within the service organization should be a feature at all levels of management.

The service organization should develop, establish, document, implement a quality system as a means by which stated policies and objectives for service quality may be accomplished. The quality system elements should be structured to establish adequate control and assurance over all operational processes affecting service quality. The quality system should emphasize preventive action that avoid the occurrence of problems while not sacrificing the ability to respond to and correct failures, should they occur. Services companies can also benefit by benchmarking which is defined as the 'continuous process of measuring products, services and practices against the toughest competitors or those companies recognized as industry leaders'. This concept was originally developed in the manufacturing sector, but is now being used successfully in service sector as well.

11.6 MEASURING SERVICE QUALITY

Customer-defined service quality standards and measures can be divided into two categories: "soft" and "hard."

Hard quality standards and measures are associated with measured process activities and outcomes. For example, on-time delivery, the shortest possible waiting time, a higher percentage of patients' recovery, and no call drop on mobile communication, among other things, can be established as quality standards in the service firm.

Soft quality standards measures are those that are difficult to observe and are typically gathered by speaking with customers and soliciting their feedback. Soft standards provide employees with direction, guidance, and feedback on how to achieve customer satisfaction, and they can be quantified by measuring customer perceptions and beliefs. SERVQUAL is an example of a sophisticated soft measurement system.

The most widely-used measure for service quality has been the 'SERVQUAL' measure of Parasuraman, Zeithaml and Berry, according to which customer assessment of service quality results from a comparison of service expectations and actual performance. The SERVQUAL scale was first published in 1988 and has undergone numerous improvements and revisions since then. This scale was developed and validated using service providers in four service sectors: retail banking, credit cards, securities brokerage and product repair and maintenance. The developers of the scale acknowledge that the five service quality dimensions are general dimensions that relate to most of the services. It measures the service quality on the five service quality dimensions discussed earlier in this unit viz. Reliability, Responsiveness, Assurance, Empathy and Tangibles. Reliability largely concerns whether the outcome of service delivery was as promised. The other four dimensions relate to the process of service delivery or how the service was delivered. 'SERVQUAL' scores are expressed as the difference between expectations and perceptions i.e., it measures the gap between the service that consumer think should be provided and what they think actually has been provided. Respondents complete a series of scale, which measure their expectations on five service quality dimensions and subsequently, they are asked to record their perceptions of that company's performance on those same dimensions. When perceived performance ratings are lower than expectations this is sign of poor quality; the reverse indicates good quality.

Example:

Example:

A) Expectation Statements (E)

- The physical facilities at banks should be visually appealing
- Banks should give customers individual attention

Strongly
Disagree

Strongly
Agree

1 2 3 4 5 6 7
1 2 3 4 5 6 7

B) Corresponding Perception Statements (P)

- The physical facilities at XYZ Bank are visually appealing
- XYZ bank gives customers individual attention

Strongly
Disagree

Strongly
Agree

1 2 3 4 5 6 7
1 2 3 4 5 6 7

The original SERVQUAL instrument consisted of 22 statements covering the five service quality dimensions (4 questions on tangibles, 5 on reliability, 4 on responsiveness, 4 on assurance and 5 on empathy) - i.e., a set of 22 statements covering expectations and a set of 22 corresponding statements covering perceptions. Expectations and perceptions statements includes aspects like

- (i) equipment, physical facilities, appearance of employees, materials associated with the service like pamphlets or statements (tangibles)

- ii) timely provision of service, performing the service right the first time, meeting the promises, sincere interest in solving the problems (reliability),
- (iii) prompt service, willingness to help, employees never too busy to respond to customer requests (responsiveness),
- (iv) behaviour of employees instilling confidence, feeling of safety in transactions, employees having knowledge to answer the questions (assurance), and
- (v) individual attention to customers, employees understanding specific needs of customers (empathy).

In addition to expectations and perceptions section the SERVQUAL contained a “point allocating question” which was used to ascertain the relative importance of the five dimensions by asking respondents to allocate a total of 100 points among the dimensions. The ‘SERVQUAL’ instrument has been used extensively, with or without some modifications. Stevens, Knutson and Patton, based in the ‘SERVQUAL’ instrument developed an interview schedule - ‘Dineserv.per’ for continual assessment of customers’ perceptions regarding service quality of restaurants and suggested that it could be administered every two to three months to 50 to 100 recent customers, selected at random. Exhibit 11.1 gives the details of the Dineserv.per interview.

The SERVQUAL scale can be used

- I. To determine a company’s service quality along each of the five service quality dimensions.
- II. To find out relative importance of service quality dimensions as considered by the customer,
- III. To compute overall weighted SERVQUAL score, which takes into account the relative importance of each dimension as well.
- IV. To track customers’ expectations and perceptions over time
- V. To compare a company’s SERVQUAL score against those of competitors.

As mentioned earlier the SERVQUAL instrument has been used with modifications in a number of studies. Though it is a widely used instrument, some researchers have also identified problems in using the instrument as well as the gap theory methodology. Cronin & Taylor suggest that instead of measuring expectations and perceptions, measurement of performance alone would be enough for measuring service quality. They have suggested that the performance-based scale developed (SERVPERF) is efficient in comparison with the SERVQUAL scale as it reduces by 50% the number of items that must be measured.

Introduce yourself, say that you're trying to measure the quality of the service at yo restaurant, since you're always trying to improve, and that this will take only about minutes. Ask if you may have their time and cooperation. If they agree, ask them to indicate their position on each of the 29 statements by assigning a number from sever (strongly agree) to one (strongly disagree). If their feeling is between those extremes, should assign an intermediate number. The restaurant.....

- 1) has visually attractive parking areas and building exteriors.
- 2) has a visually attractive dining area.
- 3) has staff members who are clean, neat, and appropriately dressed.
- 4) has a dtcor in keeping with its image and price range.
- 5) has a menu that is easily readable.
- 6) has a visually attractive menu that reflects the restaurant's image.
- 7) has a dinning area that is comfortable and easy to move around in
- 8) has rest rooms that are thoroughly clean.
- 9) has dining areas that are thoroughly clean.
- 10) has comfortable seats in the dining room,
- 11) serves you in time in the dining room.
- 12) quickly corrects anything that is wrong
- 13) is dependable and consistent
- 14) provides an accurate guest check.
- 15) serves your food exactly as you ordered it.
- 16) during busy times has employees shift to help each other maintain speed an quality of service.
- 17) provides prompt and quick service.
- 18) gives extra effort to handle your special requests.
- 19) has employees who can answer your questions completely.
- 20) makes you feel comfortable and confident in your dealings with them
- 21) has personnel who are both able and willing to give you information about items, their ingredients, and methods of preparation.
- 22) makes you feel personally safe.
- 23) has personnel who seem well-trained, competent, and experienced.
- 24) seems to give employees support so that they can do their jobs well.
- 25) has employees who are sensitive to your individual needs and wants, rather always relying on policies and procedures.
- 26) makes you feel special.
- 27) anticipates your individual needs and wants
- 28) has employees who are sympathetic and reassuring if something is wrong.
- 29) seems to have the customer's best interest at heart.

The first ten items are about tangibles; items 11-15, about reliability, items 16-18, about responsiveness; items 19-24, about assurance; and items 25-29, about empathy.

While conducting surveys to assess the service quality it will always be beneficial to ask some additional questions on customer satisfaction and loyalty with regards to the service provider. The loyalty issue can be addressed by asking questions on the customer's repurchase intention and also his likelihood or willingness to recommend the company and brand to other people (a positive word-of-mouth).

Apart from conducting customer surveys like the one using SERVQUAL as described above, some of the other methods which service organizations use to obtain information about their service quality are briefly explained below:

- a) **Transaction Surveys:** This type of research involves tracking the information about one or all of the key service encounters with the customer. These surveys are also called 'trailer calls' or 'post transaction surveys'. This is usually done with the help of a small questionnaire immediately after a service transaction has taken place e.g., survey of airlines passengers while disembarking or that of a hotel guest while checking out. These surveys also provide the management a tool for monitoring the performance of individual service contact personnel.
- b) **Complaint Solicitation and Analysis:** Customers tend to voice their dissatisfaction through complaints. An analysis of the complaints can help in identifying quality failure points.
- c) **Mystery Shopping:** In this method outside research companies are used by the service organization who send people posing as customers in order to judge the service quality. The mystery shopper is unknown to the service provider. This is a popular method in the retail sector. Mystery shopping, also termed as Ghost Shopping, can be a very effective way of reinforcing service quality standards.
- d) **Asking Customers:** This involves asking customers directly what they would like to be done to increase the quality of service and their satisfaction. This can be very effective in business - to - business situation. This primarily concerns with the expectation aspect. A slight variation of this, which includes perceptions about the service quality as well is to form customer panels i.e., ongoing groups of customers who are assembled to provide perceptions about a service over a period of time.
- e) **Intermediary Research:** This form of research is useful in services where intermediaries form an important part of the service delivery process and have a major direct contact with customers. In such situation intermediaries can provide valuable feedback to the service firm regarding quality of service as perceived by the customers.
- f) **Online Reviews and Discussions on social media:** This involves review of information shared on social media by users towards products and services. User-generated content and data provide valuable insights into quality perceptions of a firm and its competitors. Online monitoring tools, in conjunction with big data analytics, sentiment analysis of postings, and automated text analysis, provide real-time insights into changes in consumer perceptions.

11.7 COMMUNICATING WITH CUSTOMERS ABOUT SERVICE QUALITY

Communication with customers involves listening to them and keeping them informed. The ISO standard brings about the various elements of an effective communication with customers. This involves:

- Describing the service, its scope, its availability and timeliness of delivery.
- Stating how much the service will cost.
- Explaining the inter-relationship between service delivery and cost.
- Explaining to customers the effect of any problems, and how they will be resolved, should they arise.
- Ensuring that customers are aware of the contributions they can make to service quality.
- Providing adequate and readily accessible facilities for effective communication.
- Determining the relationship between the service offered and the real needs of the customer.

The need for proper communication is highlighted by the fact that the customers' perceptions of service quality are acquired often through communication with the service organization's personnel and facilities. Also, advertisements of the service should reflect the service specification and take account of the customer perception of the quality of service provided. The marketing function should recognize the liability, risks and financial implication of offering exaggerated or unsubstantiated claims for a service. It is here that importance of linkages between operations and marketing come into picture.

Valarie Zeithaml suggests that communicating service quality begins with an understanding of the importance to customers of the various aspects of service quality. Isolating quality dimensions that are most important to customer provides a focus for advertising efforts. Some of the propositions developed by him regarding advertising for services include:

- Focusing on the most important dimension of service quality will result in more effective communication than focusing on other dimensions.
- When marketing and operations interact to create external communications, customer expectations are more realistic than when these functioning do not interact.
- The more vivid the advertisement, the stronger the effect in influencing customer expectations about quality.
- Advertising that features actual employees doing their jobs is more effective in communicating excellence than advertising that uses professional talent.
- The more positive employees feel about the advertising that the company runs, the more willing they will be to provide service.

Activity 4

Visit to advertisements of some service companies and identify the service quality dimensions(s) being emphasized in them.

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11.8 SUMMARY

The unit described the concept of service quality to you. The term service quality can be described as the delivery of excellent or superior service relative to customer expectations. Because of some basic differences between goods and services with regards how they are produced, consumed and evaluated, service quality requires a different approach as compared to goods quality. You have also learnt the underlying themes of service quality that it is more difficult for the consumers to evaluate than goods quality, that service quality evaluations are made on the basis of outcome as well as process of service delivery and that service quality perceptions result from a comparison of consumer expectations with actual service performance. Two specific models of service quality, Gronroos Model and Gaps Model developed by Parasuraman, Zeithaml and Berry have been discussed. Gronroos models suggests that the quality of a service as it is perceived by the customer has two dimensions, namely a technical or outcome dimension and a functional or process related dimension. The gaps model identifies the four provider gaps which are responsible for the gap between customer's perceptions and expectations (customer gap). Impact of technology on various gaps were also discussed. The five dimensions of service quality - Reliability, Responsiveness, Assurance, Empathy and Tangibles were also explained to you.

This unit also explained to you the linkage between service quality and profitability. 'SERVQUAL' - a scale to measure service quality has been discussed along with its possible applications.

11.9 KEYWORDS

Assurance: Employee's knowledge and courtesy and their ability to inspire trust and confidence.

Empathy: Caring, individualized attention given to customers.

Expected service is what the customer anticipates receiving.

Functional quality refers to how the process and service encounter are perceived.

Hard measures of service quality are those that can be counted, timed, or observed and are related to operational processes and outcomes.

Mystery Shopping is a method in which service organisations hire outside

research firms to send people as customers to evaluate service quality.

Perceived Service Quality is the extent of discrepancy between customers' expectations or desires and their perceptions.

Reliability is Ability to perform the promised service dependably and accurately.

Responsiveness: willingness to help customers and provide prompt service.

Service quality as perceived by customers, can be defined as 'the extent of discrepancy between customers' expectations or desires and their perceptions.

SERVQUAL assesses customer service quality based on a comparison of service expectations and actual performance.

Soft measures of service quality are based on perceptions of and feedback from customers and employees.

Tangibles: Appearance of physical facilities, equipment, personnel and written materials.

Technical quality relates to what customers receive.

11.10 SELF ASSESSMENT QUESTIONS

- 1) What do you understand by the term Service Quality? What are the underlying themes of service quality?
- 2) Define the five dimensions of service quality. Give suitable examples of each dimension.
- 3) Briefly describe the gaps model and explain the significance of the five gaps that the model identifies.
- 4) If you were the manager of a service firm and wanted to apply the gaps model to improve service, which gap would you start with? Why? In what order would you proceed to close the gaps?
- 5) Is good service quality a cost or a revenue producer? Discuss with the help of examples.

11.11 PROJECT QUESTION

Using SERVQUAL scale, create a questionnaire for a service firm that you patronize or are familiar with. Collect data based on developed questionnaire and analyse the findings.

11.12 FURTHER READINGS AND REFERENCES

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UNIT 12 INTERNATIONAL TRADE IN SERVICES

Learning Outcomes

After studying this unit, you should be able:

- to outline recent trends in service sector trade and investment flows with particular focus on India's prospects in this sector,
- appreciate the Characteristics of Services Trade
- analyse India's opportunities and constraints in the service sector
- to provide an overview of the GATS

Structure

- 12.1 Introduction
- 12.2 Global Trends in Services
- 12.3 Characteristics of Services Trade
- 12.4 India's Opportunities and Constraints in the Service Sector
- 12.5 GATS: An Overview
- 12.6 Summary
- 12.7 Key Words
- 12.8 Self- Assessment Questions
- 12.9 Project Questions
- 12.10 Further Readings and References

12.1 INTRODUCTION

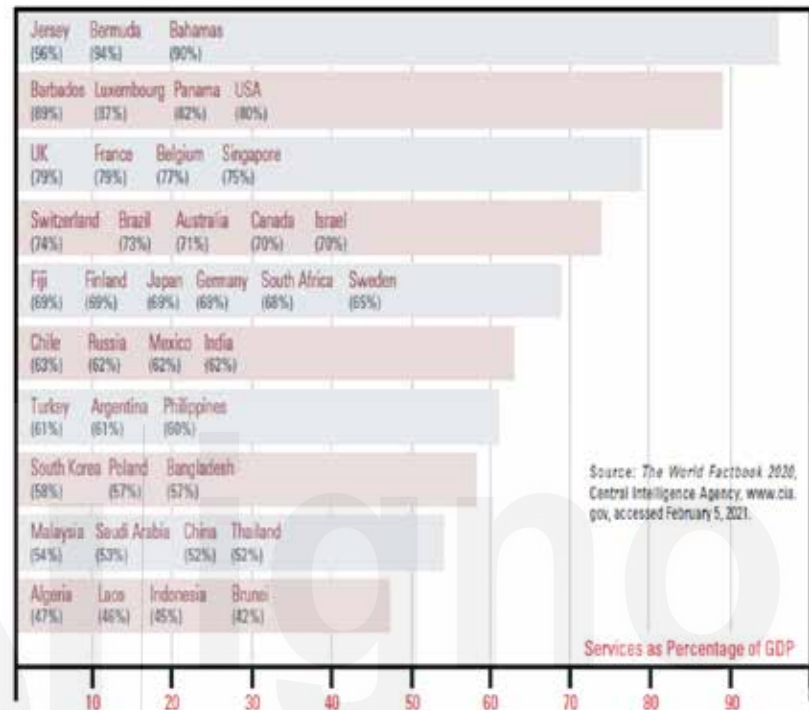
The service sector today encompasses a wide range of areas and activities. It extends beyond the traditional areas of finance, insurance, transport, communication, and tourism to new and dynamic areas such as software and information technology services, environmental, and consultancy services. In the digitally connected world, the service sector has expanded rapidly and has come to play an increasingly important role in national economies and in the international economy. Given the growing role of services in the Indian economy and India's emergence as a global player in services like software and health, globalization of services presents new opportunities and challenges for India. The WTO negotiations on services under the General Agreement on Trade in Services or GATS is thus of great significance as it provides India with a multilateral negotiating forum to address its trade and investment interests and concerns in the service sector.

12.2 GLOBAL TRENDS IN SERVICES

There has been a structural shift away from primary activities and manufacturing and toward services all over the world. In advanced economies, services already accounted for 76% of GDP in 2015, up from 61% in 1980 (UNCTAD, 2017a). Figure 12.1 depicts the relative size of

the service sector in various large and small economies. Services account for 69% of GDP in Japan and nearly 80% in the United States. In India, the service sector is estimated to contribute 62 percent of GDP.

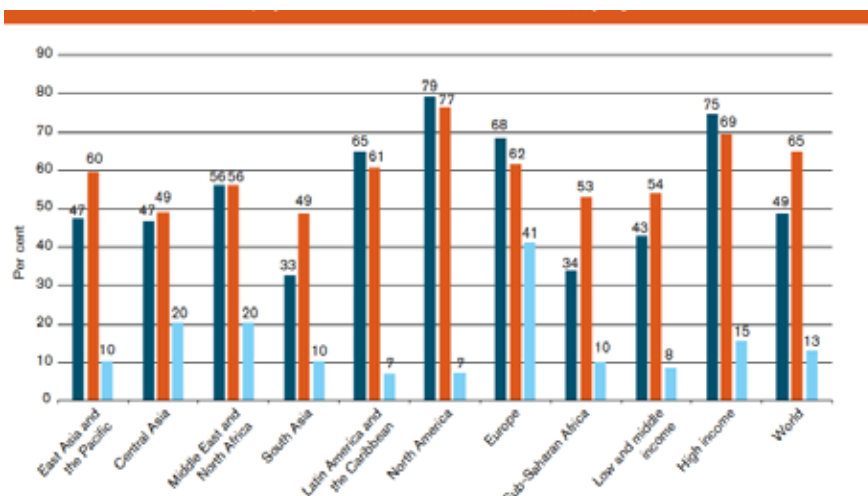
Figure 12.1 Estimated size of service sector in selected countries as a percentage of GDP



Source: Wirtz and Lovelock (2022). *Services Marketing: People, Technology, Strategy*, Ninth edition,

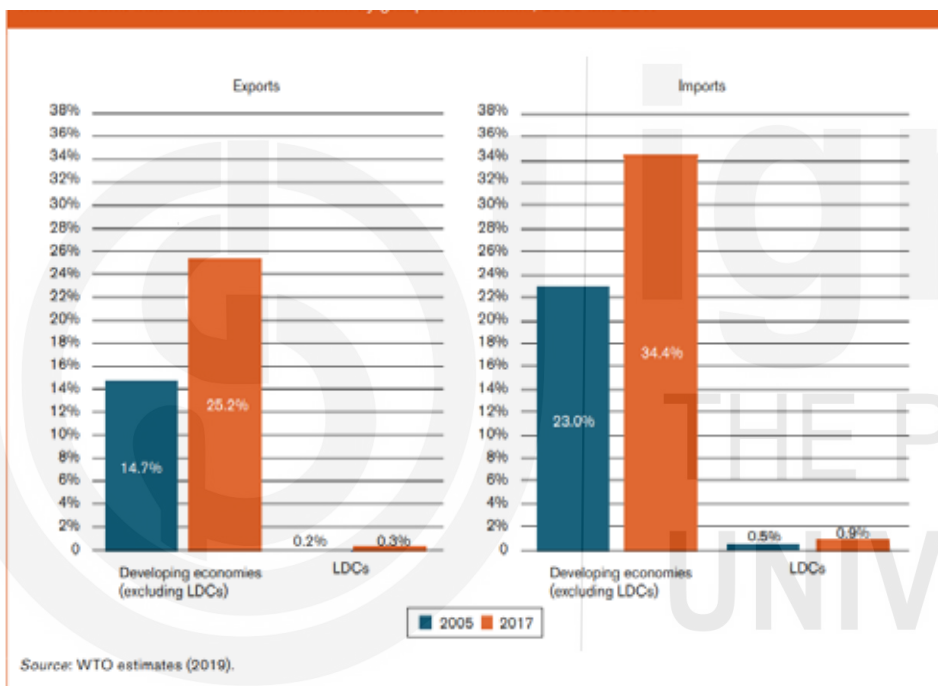
The services sector also accounts for the majority of the global economy. According to Figure 12.2, the services share ranges from 49% in South Asia to 77% in North America. It accounts for roughly two-thirds of global value-added. Apart from South Asia, it is thus higher than agriculture, industry, and natural resource sectors combined in all other major geographical regions. This hints at the enormous potential for increased trade in services to deliver significant economic gains to the world.

Figure 12.2: Share of services in value-added, employment and cross-border trade in services, by region



The growth in service sector output and employment has also been accompanied by increased internationalization of service sector transactions, driven by rapid advances in information and communication technology, the growing presence of multinational corporations and outsourcing of activities, and deregulation of services. According to the WTO, the value of global commercial services trade grew sevenfold between 1980 and 1999, from \$ 358 billion in 1980 to US \$ 933 billion in 1990 to \$1.4 trillion in 2000, and US\$ 13.3 trillion in 2017. Since 2005, trade in services has grown by 5.4 percent per year on average, outpacing trade in goods by 4.6 percent per year. Between 2005 and 2017, developing economies, excluding LDCs (Least Developed Countries), increased their share of global trade by more than ten percentage points, reaching US\$ 3.4 trillion in global services exports and US\$ 4.5 trillion in global services imports (see Figure 12.3).

Figure 12.3: Developing economies share in world trade in commercial services, 2005 and 2017



Activity 1

Select any one service out of Financial Services, Hospitality Services, Telecommunication Services or Healthcare Services and find out the trends of growth in that sector. (You may refer to business magazines, Internet or any other Source).

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12.3 CHARACTERISTICS OF SERVICES TRADE

Services have traditionally been viewed as being non-tradable, intangible, and non-storable. However, recent trends clearly indicate that services are tradable in various forms and that services trade is concentrated among certain countries, sectors, and activities. The following discussion highlights some of the main characteristics of services trade in terms of its modes of delivery, geographic, and sectoral profile.

A) Four Modes of Service Delivery

Services can be traded through various forms and modes of delivery, including transborder data and information flows and movement of capital, labour, consumers, and goods embodying services. The GATS conceives of services as being traded through four modes of supply, namely: cross border supply (mode 1) consumption abroad; (mode 2) commercial presence; (mode 3) and; movement of natural persons (mode 4).

i) Cross-border Trade: Mode 1

Cross-border trade is similar to the traditional notion of goods trade. In this mode, the service is embodied in a transportable media such as paper documents, or digital form, and is transmitted via internet links. Examples include consultancy services over the phone or legal services provided in one country to clients in other countries by e-mail or video. In the balance of payments (BoP), mode 1 is represented mainly by services minus travel and government services, although this is not fully accurate due to overlap with other modes of services trade. Mode 1 based services trade has grown rapidly in recent years, in large part due to advancements in information technology and increased scope for transmission of information and transborder data flows. Cross-border services transactions, including those conducted electronically, totalled US\$ 3.7 trillion in 2017, accounting for 27.7 percent of total transactions. Cross-border trade is widespread in many service sectors, including transportation, professional and business services, distribution and communications services, as well as computer services and related activities. Even for countries with modest service exports, if one looks at indicators of relative specialization (ratio of mode 1 based services trade to total exports of goods and services), cross-border services trade features importantly. Given the growing potential for services trade via means such as e-commerce, telemedicine, and e-banking, mode 1 based services trade is likely to expand significantly in future.

ii) Consumption Abroad: Mode 2

Consumption abroad refers to services trade where the consumer of the service moves to the country that produces the service. Tourist spending in other countries and student spending abroad are two common examples of consumption abroad. Mode 2 refers mainly to travel services, although there is likely to

be some underestimation due to reasons such as e-commerce which make it difficult to separate out modes 1 and 2. In 1997, services consumed in other countries accounted for \$1.4 trillion and 10.4% of total service trade, with tourism accounting for more than 60% of the value.

iii) Commercial Presence: Mode 3

Commercial presence is when services trade involves the establishment of service operations in the consuming country as in the case of setting up bank branch offices, law offices, retail stores overseas to provide services to local consumers. It is analogous to foreign direct investment. Mode 3 covers juridical persons and legal entities that share characteristics of corporations, joint ventures, partnerships, and representative offices and branches. In existing BoP statistics, commercial presence is recorded in the form of data on international FDI flows and income stocks in financial accounts. However, FDI information alone does not provide an accurate picture of the total value of operations by service firms overseas. For instance, if a foreign affiliate is treated as a resident in the host country, the value of its services is not recorded in the BoP. An important supplementary measure of mode 3 based services trade is provided by the Foreign Affiliates Trade in Services (FATS) statistics. The FATS collects both inward and outward information on commercial presence through indicators such as sales, employment, and value added of majority owned enterprises located in foreign countries. Inward FATS statistics deal with the value of services provided by foreign affiliates established in the home country while outward FATS statistics deal with the value of services provided by foreign affiliates owned abroad by residents of the home country. Sales through the establishment of foreign controlled affiliates were the dominant mode for trading services globally worldwide for 2017 with a value of US\$ 7.8 trillion, or about 58.9 per cent of total services trade.

iv) Movement of Natural Persons: Mode 4

This mode involves the delivery of the service through the temporary cross- border movement of service suppliers as in the case of software and construction services. There are two categories of such service providers, the self-employed and employees. The self-employed are individual foreign service suppliers who go overseas on their own to supply services. Employees are foreign natural persons employed by service suppliers to provide services, where the employer could be from the home or third countries. At present, mode 4 based services trade is captured in the BoP accounts under compensation for

those established abroad. In 2017, only US\$ 0.4 trillion, or 2.9 percent, of services are traded globally through the presence of people abroad, but this share varies by economy or sector. While the relative insignificance of mode 4 based trade reflects the smaller volume of trade via movement of natural persons, due to various restrictions on cross-border labour mobility, it is also due to problems in capturing the extent of such trade. Measures of mode 4-based services trade are the most problematic. The compensation category does not capture compensation to service providers who are temporarily abroad for more than one year, since by the BoP definition, such persons are defined as residents of the host country. This lends a downward bias to the estimates.

Activity 2

Classify the following services, as per the classification given above:

- ☐ Financial Services

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- ☐ Hospitality Services

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- ☐ Telecommunication Services

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- ☐ Healthcare Services

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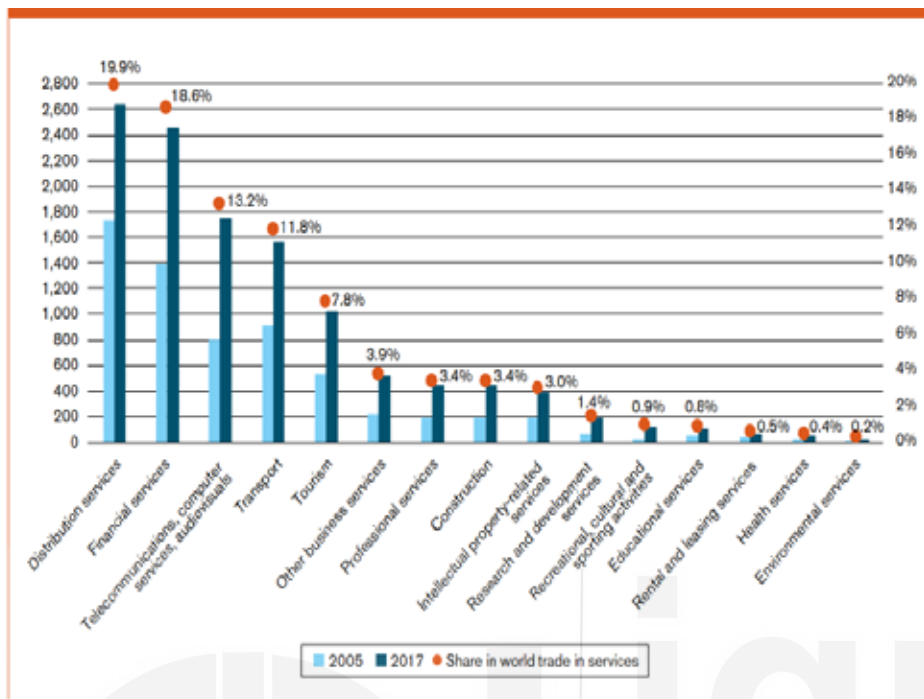
B) Geographic Profile

Services trade is highly concentrated among a few developed countries and a few regions of the world. Developed countries account for 70 per cent or more of global services trade and this predominance holds across all four modes of supply. Developing countries are relatively smaller players in services trade than in merchandise trade. Services trade between developed and developing countries occurs mostly in the context of modes 3 and 4 which relate to cross border flows of capital and labour, respectively. The latter reflects the importance of capital and labour endowments in determining comparative advantage and the direction of trade and factor flows in services.

C) Sectoral Composition

Figure 12.4 depicts the growth of trade in services by sector. Since 2005, computer services, research and development (R&D) services, and health services have grown at rates of 10% or higher on average per year, with a wide range of other service sectors closely following.

Figure 12.4: World trade in commercial services by sector, 2005 and 2017 International Trade in Services



With US \$ 2,634 billion and US \$ 2,463 billion, respectively, **distribution** services and **financial** services were the most traded services globally, accounting for 19.9 percent and 18.6 percent of total services trade in 2017. In 2017, approximately 77% of financial services, or approximately US \$ 1,941 billion, and more than 70% of distribution services, or approximately US \$ 1,852 billion, were traded globally through foreign affiliates. Increased digitalization, e-banking, mobile banking, and online sales, on the other hand, are reshaping business models in the finance and distribution sectors. Consumers can order goods online from anywhere in the world. As a result, there has been a surge in online cross-border sales, with many wholesalers and retailers, particularly in developed economies, closing physical stores and opting to sell online, or combining physical presence with online ordering and delivery options. So, the percentage of services exported via branches and subsidiaries established in other economies is decreasing. In the European Union, for example, this trend began in the financial sector following the 2008-09 global financial crisis, alongside the structural transformation that the banking system underwent following the crisis.

As the number of international **tourist** arrivals worldwide increased to around 1,330 million in 2017, up from 809 million in 2005 (UNWTO, 2018), global tourism trade reached US \$ 1,029 billion, nearly doubling its 2005 value. In 2017, one-third of global **transport** trade, or \$529 billion, was directly related to the cost of shipping goods across economies, primarily by sea or air. Supporting transportation services such as cargo handling, storage, and warehousing accounted for an additional 16%.

The **Construction** trade reached \$445 billion in 2017, with an average annual growth rate of 7% since 2005 and a 3.4% share of global services trade. China has emerged as the world's second largest exporter after the European Union, with exports totalling US\$ 188 billion and accounting for more than one-third of global construction exports (37.3%) in 2017, up from 8.4 percent in 2005.

Trade in **information and communication technology** (ICT) services, including computer services and related activities (IT services), was valued at \$1,756 billion in 2017, growing at an annual rate of 11% on average, more than doubling since 2005. Technology is permeating and gradually transforming all service sectors. This is due to a synergy between the telecommunications industry and its provision of high-speed connectivity development of innovative industry-specific software, and robotics, owing to a thriving R&D sector.

Cross-border trade in **intellectual property**-related services, worth an estimated \$396 billion, is dominated by flows between developed countries (92 per cent of exports and 75 per cent of imports). In 2017, Israel ranked first in the world in R&D expenditure (4.5 percent of GDP) and fourth in R&D service exports, behind the European Union, the United States, and China. Since 2005, cross-border trade in **professional and management consulting** services and the physical presence of professionals abroad has increased by 8% on average per year, totalling US \$ 308 billion, with developed economies accounting for roughly 70% of the total.

Educational, health, and environmental services, for example, are making inroads into international trade. These services are currently a minor component of trade, but their importance is growing. Trade in **educational** services increased rapidly in 2017, reaching \$111 billion, accounting for 0.9 percent of global trade in services. International consumption is the primary mode of exchange for educational services (mode 2). However, online distance education is growing due to the emergence of educational platforms on the internet. The trade in **health** services, ranging from complex surgery to rejuvenation treatments, was valued at US \$54 billion in 2017, with a 0.4% share of global trade in services but an annual average growth rate of 11% since 2005.

Finally, preliminary estimates indicated that approximately US \$20 billion in **environmental** services, such as waste disposal, recycling, sanitation, and pollution cleaning, were traded in 2017. Environmental services account for only 0.2 percent of service trade. However, rising environmental concerns and resulting regulatory initiatives, such as those aimed at reducing plastic pollution, are increasing demand for these services globally, and their trade has been expanding at an annual average growth rate of 4% since 2005.

D) Data Issues in Services

While existing data clearly indicate the predominance of certain countries, subsectors, and forms of delivery in services trade,

it is important to note that service sector data are subject to many shortcomings due to statistical conceptual, and methodological difficulties in measuring this sector. There are major discrepancies between national income accounts and balance of payments statistics for the service sector. Such measurement problems and the resulting lack of comprehensive and accurate data on services are a major constraint to analysing services trade and investment flows.

12.4 INDIA'S OPPORTUNITIES AND CONSTRAINTS IN THE SERVICE SECTOR

The services sector in India includes a wide range of activities such as trade, hotels and restaurants, transportation, storage and communication, financing, insurance, real estate, business services, community, social, and personal services, and construction services. The Service sector has contributed significantly to exports and provided widespread employment. An assessment of the Indian economy's growth path over the last 16 years, from 2003 to 2019 (Table 12.1) reveals that growth is primarily driven by the services sector, which has shown resilience throughout the period, with the exception of 2008-09. From 2014 to 2019, the services sector contributed 68.8 percent of GVA, industry contributed 25.1%, and agriculture contributed 6.1%. Agriculture, forestry, and fishing growth is unpredictable due to reliance on monsoon, but an increasing share of allied activities that are relatively insulated from weather uncertainties has given the sector some resilience. As a result, agriculture has lost its share of total GVA to the services sector. Manufacturing, on the other hand, has driven industrial GVA and has broadly maintained its share, reflecting its forward and backward linkages with other sectors.

Table 12.1: Sector-wise GVA Growth

Sectors	Growth (per cent)					Contribution to Growth (per cent)				
	2003-08	2008-09	2009-11	2011-14	2014-19	2003-08	2008-09	2009-11	2011-14	2014-19
1	2	3	4	5	6	7	8	9	10	11
I. Agriculture, forestry and fishing	4.5	-0.2	4.0	4.5	2.9	12.0	-1.2	8.7	14.6	6.1
II. Industry	8.4	3.4	9.1	2.9	8.1	24.9	18.6	29.2	11.8	25.1
i. Mining and quarrying	5.2	-2.5	9.7	-5.6	7.1	3.1	-2.4	5.0	-4.4	2.8
ii. Manufacturing	9.6	4.7	9.3	4.5	8.4	19.7	18.5	22.2	14.1	20.0
iii. Electricity, gas, water supply and other utility services	7.1	4.9	6.5	5.1	7.5	2.1	2.5	2.0	2.1	2.3
III. Services	8.6	6.4	8.0	7.0	8.2	62.0	82.6	62.1	73.6	68.8
i. Construction	12.8	5.6	6.4	5.4	5.7	13.4	11.6	7.9	9.0	6.5
ii. Trade, hotels, transport, communication and services related to broadcasting	9.4	2.4	9.0	7.5	8.4	20.3	9.6	19.8	24.0	21.4
iii. Financial, real estate and professional services	7.6	5.2	5.6	8.5	8.8	19.4	23.5	15.0	28.8	25.7
iv. Public administration, defence and other services	6.3	15.8	11.8	5.1	8.8	8.9	37.8	19.4	11.7	15.2
IV. GVA at basic prices	7.7	4.3	7.4	5.6	7.3	100.0	100.0	100.0	100.0	100.0

Source: Annual Report 2018-19, Reserve Bank of India

India's services sector Gross Value Added (GVA) increased at a CAGR of 11.43% to Rs. 101.47 trillion (US\$ 1,439.48 billion) in FY20, from Rs. 68.81 trillion (US\$ 1,005.30 billion) in FY16. Between FY16 and FY20, financial, real estate and professional services augmented at a CAGR of 11.68% (in Rs. terms), while trade, hotels, transport, communication and

services related to broadcasting rose at a CAGR of 10.98% (in Rs. terms). Performance of India's service sector is exhibited in Table 12.2.

In normal times, the tourism industry contributes significantly to GDP growth, foreign exchange earnings, and employment. However, the Covid-19 pandemic has had a crippling effect on global travel and tourism, including in India. According to the World Tourism Organization's World Tourism Barometer (January 2021), International Tourist Arrivals (ITA) fell by 74% globally in 2020 compared to the previous year, owing to travel restrictions, low consumer confidence, and a global struggle to contain the Covid-19 spread. ITA totalled 1.5 billion in 2019, and expected to fall to 381 million in 2020, resulting in a US\$1.3 trillion loss in export revenues. However, with higher demand for digital support, cloud services, and infrastructure modernization to meet the new pandemic challenges, India's software exports remained relatively resilient during the Covid-19 period, accounting for 48.5 percent of total service exports.

Table 12.2: Performance of India's services sector

Sub Sector	Indicators	Unit	2009-10	2017-18	2018-19	2019-20	202-21
	IT-BPM service revenues	US\$ billion	64	167	181	191	177*
	Exports	US\$ billion	50	126	136	147	149.1*
	Domestic	US\$ billion	14	41	45	44	28.9*
Aviation	Airline Passengers (Total)	Million	77.4	308.8	204.2	341.05	115.7
	Domestic	Million	45.3	243.3	275.21	274.50	105.6
	International	Million	32.1	65.5	69.48	66.54	10.1
Telecom	Telecom Connections (wireline and wireless)	Million	621.3	1,206.2	1,776.75	1,177.02	1,181
	Wireless internet subscription	Million		472.7	582.8	720.8	799.3
Tourism	Foreign Tourist Arrivals	Million	5.2	10.	10.6	10.89	2.74**
	Foreign Exchange earnings from tourism	US\$ billion	11.1	28.8	27.7	29.96	6.96**
Shipping	Gross tonnage of Indian shipping	Million GT	9.7	12.6	12.8	12.7	13
	No. of ships	Numbers	998	1,382	1,405	1,431	1463

Note: * Estimates; ** Jan-June 2020, **Source:** Economic Survey 2021-22, <https://www.ibef.org/industry/services>

Services export is a key driver of India's growth, with India ranking eighth among the world's largest exporters of commercial services in 2019. Financial, real estate, and professional services grew at a CAGR of 11.68 percent (in Rs. terms) between FY16 and FY20, while trade, hotels, transportation, communication, and broadcasting-related services grew at a CAGR of 10.98 percent (in Rs. terms).

As we discussed in the previous section, global IT service exports were estimated at US\$ 438 billion in 2017, with the European Union being the largest global exporter and India ranking second. Over the years, India has emerged as a significant exporter of IT services, with the United States and Canada serving as the primary importers. In 2017, India's exports exceeded US\$ 52 billion, of which some 13 per cent was exported through the deployment of IT professionals abroad (mode 4).

Because of its large pool of skilled IT workers, India has become a global outsourcing hub. It now controls 55 percent of the global sourcing market. Furthermore, India is the world's digital capabilities hub, accounting for 75% of global digital talent. The Indian IT outsourcing service market is expected to grow by 6–8% between 2021 and 2024. India's IT and business services sector is expected to reach US \$ 14.3 billion by the end of 2023, with an 8 percent growth rate, and US \$ 19.93 billion by 2025. The digital economy of India is expected to reach \$1 trillion by 2025, and the software service industry is expected to reach \$1 trillion by 2030.

With an increasing demand for remote consultation, the telemedicine market is driving growth in the healthcare sector. The Indian telemedicine market is expected to reach US\$ 5.5 billion by 2025, while the healthcare industry is expected to reach US\$ 372 billion.

The Goods and Services Tax (GST) has created a unified national market and reduced the overall tax burden on goods. It is expected to reduce costs in the long run due to the availability of GST input credit, which will result in lower service prices.

Thus, India's presence as well as its future potential in the global software industry is well recognized, at home and abroad. In several other areas such as construction and engineering services, health services, telecommunications, and financial services, there is growing recognition in India and abroad of the country's trade and investment potential.

Activity 3

Identify those Services in India which have grown during the last 4-5 years. Also think about the possible reasons for growth.

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Characteristics of India's Service Sector Trade

The data shown in Table 12.2 clearly shows that India's services trade has expanded significantly in recent years. However, this expansion has not

been consistent across subsectors. Traditional service activities have given way to IT-enabled and software services in India's services trade. This structural change in India's services trade mirrors the structural changes in the global services trade, where a similar shift from traditional sectors to IT, telecommunications, business, and professional services has occurred. The shift is largely due to the expansion of information technology and software services, which have enabled many business activities.

Using the mode-wise classification of services trade, all four GATS modes appear to be important in India's service trade. Consumption abroad or mode 2 is an important mode of supply given the significant share of travel services in both services exports and imports. Cross border supply or mode 1 is also important given the recent growth in business process outsourcing and back-office activities in India and the growing scope to deliver services cross border through internet, electronic and telecommunication means. India also relies heavily on movement of natural persons for its services exports, reflecting its comparative advantage in exporting labour-intensive services. The importance of cross border labour mobility is evident from the growing role of other business services in total services trade, since many of these professional services require movement of professional service providers to the overseas market. The predominant subsector within this segment is software services which relies on cross border movement of software service providers to provide on-site and customized software services in overseas markets. However, determining the significance of mode 4 in India's services trade is challenging because of data availability on employee compensation, transfers and remittances, and the distinction between temporary and permanent labour movement.

The services sector not only accounts for the majority of India's GDP, but it has also attracted significant foreign investment, as shown in Table 12.3. Financial and telecommunications services, computer services, retail and wholesale trade, and business services account for the majority of FDI in services. Given the impending deregulation and liberalisation of many states' monopoly sectors such as insurance, telecommunications, and air transport, as well as the relaxation of foreign equity norms in light of the need for major capital investments in many areas, FDI's role in India's services trade has grown. FDI policy provisions in sectors such as construction development, broadcasting, retail trading, air transport, insurance, and pensions have been drastically revised. Above all, the Foreign Investment Promotion Board (FIPB) has been abolished.

Figure 12.3: Industry-wise Foreign Direct Investment Flows to India (US \$ million)

Source/ Industry	2015-16	2016-17	2017-18	2018-19
1	2	3	4	5
Total FDI	36,068	36,317	37,366	38,744
Manufacturing	8,439	11,972	7,066	7,919
Communication Services	2,638	5,876	8,809	5,365
Retail & Wholesale Trade	3,998	2,771	4,478	4,311
Financial Services	3,547	3,732	4,070	3,672
Computer Services	4,319	1,937	3,173	3,453

Business services	3,031	2,684	3,005	2,597
Restaurants and Hotels	889	430	4,52	749
Transport	1,363	891	1,267	1,019
Construction	4,141	1,564	1,281	2,009
Electricity and other energy Generation, Distribution & Transmission	1,364	1,722	1,870	2,427
Real Estate Activities	112	105	405	213
Education Research & Development	394	205	347	736
Miscellaneous Services	1,022	1,816	835	1,226
Mining	596	141	82	247
Trading	0	0	0	0
Others	215	470	226	102

Note: Includes FDI through SIA/FIPB and RBI routes only (Source: RBI Annual report, 2019-20) <https://rbidocs.rbi.org.in/rdocs/AnnualReport/PDFs/0RBIAR201920DA64F97C6E7B48848E6DEA06D531BADF.PDF>

Constraints to India's Trade in Services

There are many policy-related, infrastructural, and other constraints to India's trade in services.

Market Access Barriers: Many market access barriers exist in India's trading partner countries. Some of them for major services include professional visa issues in various countries and professional service supplier licencing. On the export front, India's exports of professional services are adversely affected by external barriers such as immigration and labour market regulations, recognition and licensing provisions, and discriminatory treatment with respect to taxes, subsidies, and government procurement policies. For instance, Indian professionals are subject to entry quotas, cumbersome administrative procedures for issuance of visas and work permits, wage parity requirements, economic needs tests, and nationality and residency conditions. In professions like health, architecture, and accountancy services, credentials of Indian professionals are not recognized in major countries due to the absence of mutual recognition agreements, which either requires them to undergo further training in the host country or restricts their scope of practice. Deficiencies in domestic standards of training and infrastructure and quality of manpower also affect India's exports of professional services.

Domestic Regulations and Services Trade Restrictiveness:

Domestic regulatory reforms are critical for both domestic production and service exports. However, it should not act as or be used as a trade barrier. The OECD's (Organisation for Economic Co-operation and Development) Services Trade Restrictiveness Index (STRI) assists in identifying trade-restrictive policy measures. Among the 44 countries, India has a STRI score that is above average in all sectors and the highest in accounting services, legal services, and rail freight transport out of the 22 services. While STRI indicators can be useful, there is room for improvement in methodology, data collection, and transparency. The OECD's STRI excludes important services such as tourism and real estate, though construction is included. In the case of computer services, for example, India's STRI is not only higher than that of the UK and the US, but it is even higher in the sub-indicator of restrictions on people's movement.

Project exports include both goods and services, posing some unique challenges. Some issues facing this sector include: lack of data accuracy and the absence of specific Harmonized System (HS) Codes, resulting in project exporters not qualifying for export benefits; exploring the potential for project exports in the SAARC (South Asian Association for Regional Cooperation) and CLMV (Cambodia, Lao PDR, Myanmar, and Vietnam) regions; and including project exports in FTA/CECA (Comprehensive Economic Cooperation Agreement).

Free Trade Agreements (FTAs)/CECAs (Comprehensive Economic Cooperation Agreement):

Mega FTAs are breaking up or slowing down for a variety of reasons. India's free trade agreements have benefited its trading partners more than India, though some FTAs are solely for strategic reasons. Furthermore, the Generalized System of Preferences (GSP) benefits have been withdrawn for India but not for some of its key competitors. As a result, there is a need for useful FTAs/CECAs that include services as well as project exports, which have previously been excluded from FTAs/CECAs.

Policy Initiatives in Services Sector

The government has taken a number of initiatives to help the services sector. Some measures include increasing SEIS (Service Export from India Scheme) incentives by 2% for notified services such as Business, Legal, Accounting, Architectural, Engineering, Educational, Hospital, Hotels, and Restaurants; increasing the validity period of Duty Credit Scrips from 18 months to 24 months to improve their utility in the GST framework; lowering the GST rate for transfer/sale of scrips from 12% to 0%; and lowering the GST rate for the transfer/sale of scrips from 12% to 0%; and establishing a new Logistics Division within the Department of Commerce to develop and coordinate the implementation of an Action Plan for the integrated development of the logistics sector. Other initiatives include the Digital India programme in the IT sector; E-Visas, the Swachhta Action Plan, the launch of the Global Media campaign, the launch of the Heritage Trail and the Adopt a Heritage Scheme to promote world heritage sites in India, and initiatives by the National Medical and Wellness Tourism Board to promote medical tourism; Smart Cities mission, Real Estate Investment Trusts (REITs), Infrastructure Investment Trusts (InvITs), Real Estate Regulation and Development Act (RERA) to assist the real estate sector; extending Lines of Credit; introducing Buyer's credit under the National Export Insurance Account; and Project Development Fund for CLMV (Cambodia, Lao PDR, Myanmar, and Vietnam) countries to help project exports.

12.5 GATS: AN OVERVIEW

One of the most significant achievements of the Uruguay Round of negotiations from 1986-1993, was to broaden the scope of world trade rules to cover services. Services negotiations were conducted on a separate track from those on goods, under the aegis of the Group for Negotiations on Services (GNS). The resulting agreement, GATS, establishes multilateral rules and disciplines to govern international trade and investment in services.

Key features of the GATS

The GATS is a comprehensive legal framework of rules and disciplines covering 161 service activities across 12 classified sectors. These include activities as wide ranging as telecommunications, financial, maritime, energy, business, education, environmental, and distribution services. It excludes services supplied in the exercise of governmental functions.

The GATS has three main elements. The first is a set of general concepts, principles, and rules, which are applicable across the board to measures affecting trade in services. Some of the key provisions include obligations concerning transparency, domestic regulation, restrictive business practices, behavior of public monopolies, and Most Favoured Nation (MFN) treatment. The second element is a set of sector-specific or cross-sectoral commitments on national treatment and market access which are applicable to those activities listed in a country's schedule of commitments. The third important element is a series of attachments including annexes to the agreement which pertain to sectoral specificities and Ministerial Declarations regarding GATS' implementation. This three-tier structure reflects the need to have:

1. General principles applicable to all services to advance overall liberalization in services;
2. National schedules to enable countries to proceed at their own pace in liberalizing services; and
3. Sectoral agreements to ensure that trade liberalization in some sectors is supported by the establishment of compatible regulatory regimes or modification of existing ones.

The GATS defines services trade as occurring through four modes of supply, modes as discussed earlier. This modal breakdown addresses the complex nature of international transactions in services and the diverse forms in which services are embodied, in consumption, production, and distribution-related activities and in the form of goods, human capital, and information. It also brings into the purview of GATS, regulatory issues concerning investment policies and immigration and labour market legislation, hitherto outside the domain of the multilateral trading system.

The GATS' commitment structure and framework is distinct from that of other WTO agreements. Countries make commitments on market access and national treatment for specific sectors in sectoral schedules of commitments and across sectors in horizontal schedules of commitments. The former is applicable to the particular sector at hand while the latter relate to all sectors and could complement, override, or qualify the sectoral commitments. Countries are free to decide which service sectors they wish to schedule, i.e., table for negotiations, and thus subject to market access and national treatment disciplines. The latter has also been termed as a positive list approach to liberalization. These market access and national treatment commitments are made for each of the four modes of supply, i.e., there are in all eight commitments per subsector or activity in both the sectoral and the horizontal schedules. In addition, countries maintain which violate market access and national treatment, again by mode of supply. Limitations listed in the horizontal schedules typically include general laws and policies, which restrict the use of a mode of supply by foreign suppliers,

independent of the sector concerned. Countries may also choose to inscribe additional limitations or qualifying conditions to their commitments.

Under the market access obligation, a country must accord treatment to foreign service providers which is no less favourable than that provided for under the terms, limitations, and conditions specified in its commitment schedule. These limitations take the form of restrictions on the number of foreign service suppliers, the value of transactions or assets, the total quantity of services output, the number of natural persons who may be employed, the type of legal entity, and the extent of foreign capital participation.

Table 12.4 below illustrates the typical format of the horizontal and sectoral schedules of commitments.

Table 12.4: Sample Schedule of GATS Commitments

Commitments	Mode of supply	Conditions and limitations on market access	Conditions and qualifications on national treatment
Horizontal commitments (i.e., across all sectors)	Cross-border supply	"None"	E.g., "None" other than tax measures that result in differences in treatment with respect to R&D services.
	Consumption abroad	"None"	"Unbound" for subsidies, tax incentives, and tax credits
	Commercial presence	E.g., "Maximum foreign equity stake of 49 percent"	E.g., "Unbound" for subsidies. Approval required for equity stake over 25 percent.
	Temporary entry of natural persons	E.g., "Unbound" except for the following: Intra-corporate transferees of executives and senior managers; specialist personnel subject to economic needs test for stays longer than one year; service sellers for up to three months	E.g., "Unbound" except for categories of natural persons referred to in the market access column.
Specific commitment	Cross-border supply	E.g., "Commercial presence is required"	E.g., "Unbound"
E.g., Architectural services	Consumption abroad	E.g., "None"	E.g., "None"
	Commercial presence	E.g., "25 percent of senior management should be nationals"	E.g., "Unbound"

	Temporary entry of natural persons	E.g., “Unbound, except as indicated in Horizontal Commitments	E.g., “Unbound, except as indicated in Horizontal Commitments”.
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Source: Hoekman in (eds.) W. Martin and A. Winters (1995).

The national treatment obligation requires a country to accord treatment to foreign service suppliers which is no less favourable than that accorded to its domestic service providers, except as specified in its limitations and conditions under its national treatment commitments. Typical violations of national treatment include differential treatment of foreign service providers in the case of subsidies, taxes, government procurement policies, and provision of various benefits.

An entry of “none” in the above schedule means that a member binds himself not to have any measures, which violate market access and national treatment for a specific sector and mode of supply. These are also termed full commitments. Unbound implies that no commitment is made for a particular mode of supply. The rest of the entries, which include specification of some conditions and limitations are known as partial commitments. Thus, the GATS not only gives countries the discretion to choose sectors for negotiations but also gives them the flexibility to decide the degree of liberalization which they wish to commit in these tabled sectors.

12.6 SUMMARY

Service sector trade and investment are likely to grow rapidly in the coming years. The prospects for further liberalization of these flows are also promising given heightened awareness about the importance of a competitive and efficient service sector and much greater willingness on the part of governments across developed and developing countries to deregulate and liberalize services autonomously. The GATS framework establishes multilateral rules and discipline to govern International trade and investment in services. India is emerging as an important player in both exports and imports of services.

12.7 KEY WORDS

GATS: General Agreement on Trade in Services (GATS) was established in 1995 as a WTO treaty. GATS agreement covers four modes of cross-border service trade: cross-border supply, consumption abroad, commercial presence, presence of a natural person.

Trade Barriers: refer to international restrictions on service market access.

WTO: World Trade Organization (WTO) deals with the global rules of trade between nations. Its main function is to ensure that trade flows as smoothly, predictably and freely as possible

12.8 SELF-ASSESSMENT QUESTIONS

1. What are the four modes of service delivery? Explain by taking examples.

2. Discuss constraints to India's Trade in Services and its implications for India?
3. In what specific Services sector, India has core competence, which can be strategically exported. Give Justifications.
4. What is your understanding of GATS and its implications for India?

12.9 PROJECT QUESTIONS

1. IT services have given Indian companies a positive image in international markets. Examine the opportunities and challenges of exporting IT services.

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UNIT 13 MANAGING DEMAND AND CAPACITY

Objectives

After studying this unit, you should be able to

- explain the importance of managing demand and capacity for service organizations.
- appreciate the demand patterns and their underlying reasons.
- develop strategies for matching demand and capacity.
- apply the concept of yield management.
- analyse strategies for managing customer waiting.
- explain the significance of service guarantees

Structure

- 13.1 Introduction
- 13.2 Understanding Demand Patterns
- 13.3 Strategies for Matching Capacity and Demand
- 13.4 Yield Management
- 13.5 Managing Customer Waiting
- 13.6 Service Guarantees
- 13.7 Summary
- 13.8 Keywords
- 13.9 Self- Assessment Questions
- 13.10 Project Question
- 13.11 Further Readings and References

13.1 INTRODUCTION

In the second unit of this course, you have studied the characteristics of services which distinguish them from goods. One of the characteristics is perishability which means that services cannot be saved or stored. While marketers of physical goods hold inventories to buffer fluctuations in demand and supply, it is difficult or impossible for services marketers to do so. Therefore, many service businesses frequently find it difficult to match supply (capacity) and demand. At times there may be too much of demand (movie halls or restaurants on weekend evenings) and sometimes too little demand may exist (low weekend occupancies in business hotels). However, a theater owner or a restaurant cannot take an empty seat from Thursday night and add it to the capacity on Friday or Saturday night. A low occupation for a business hotel on weekends is an irretrievable loss. Similarly, a hospital bed or an airline seat left vacant is a loss for ever. Inability to synchronize supply and demand has a significant impact on the service organization's bottom line through lost opportunity (when demand

is greater than capacity) and through high costs (when demand is low in relation to fixed capacity resulting in underutilization of capacity)

Zeithaml, Parasuraman and Berry conducted an exhaustive survey in U.S.A (in 1980's) covering 1,000 service firms to find out the extent to which problems reported to be associated with services actually presented problems for the sample firms. Out of the eight commonly cited difficulties unique to services, only one problem area – 'The demand for services fluctuates' - received a mean score exceeding the mid-point on the 5-point scale (1 indicating no problem at all to 5 indicating a major problem). This problem received a score of 3.27 and another important finding was the absence of any significant difference across different types of services firms with regard to this problem.

Perception of demand fluctuation as a somewhat serious problem appeared to be universal. A similar study conducted in India in 1996-97 with reference to passenger airline industry covering more than a dozen airlines operating in India revealed similar results. The problem area that the demand fluctuates, received a mean score of 3.66 with 60 percent of the airlines indicating a score of 4 to 5. The next highest score was 2.94 with regard to problem area that service quality is difficult to control.

In this unit we will discuss various issues related to managing demand/capacity (supply) imbalances.

Activity 1

Compare a service organization with a manufacturing firm in terms of inventory capacity (e.g., car repair and maintenance service with an automobile manufacturer). Can you identify the implications for the service organization?

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13.2 UNDERSTANDING DEMAND PATTERNS

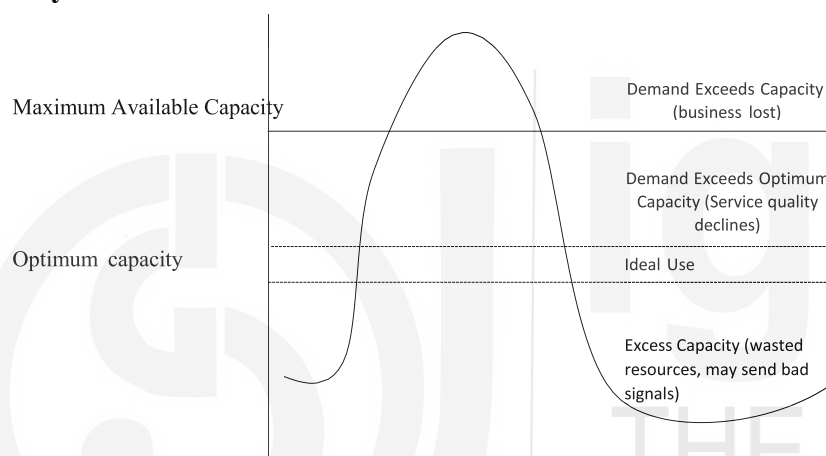
A service organization with a fixed capacity may be faced with one of the following four conditions:

1. **Excess demand:** The demand exceeds the maximum available capacity. This results in some customers being turned away. Also, even for the customers receiving the service, the quality of service may get affected (refer service delivery gap in the gaps model discussed in the previous unit). This may happen because of overcrowding and/or overstretching of resources.
2. **Demand exceeds the optimum capacity level:** Optimum capacity refers to the best use of capacity from the perspective of both, customers and the company. In most of the cases it is less than the maximum capacity. For example, in the counselling session at your study centre, while the maximum capacity of the rooms may be 60-70, the optimum capacity for conducting the session may be 30-40

- only for ensuring proper interaction. In the situation when demand exceeds optimum capacity, while no one is turned away, customers may perceive deterioration in the quality of service delivered.
3. **Demand and supply are balanced at the optimum capacity:** This is the ideal situation. No one is turned away, no one is overworked in the staff and customers receives quality service.
 4. **Excess capacity:** Demand is less than optimum capacity and therefore resources are underutilized. In certain cases, this may also pose the risk that customers may have doubts about the service provider.

All the above four possibilities have been given in Fig. 13.1. The capacity of the service organization includes physical facilities, equipment and human resources.

Fig 13.1: Implications of Cyclical Variations in Demand Relative to Capacity



(Source: Christopher Lovelock, *Managing Services- Marketing Operations and Human Resources*, 2nd Edn. Prentice Hall, p.155)

The first step in finding out ways to manage demand and capacity is to understand the demand patterns and the factors which affect it. Better knowledge of demand patterns leads to better managerial decision making. The demand patterns may have a regular and predictable cycle or in some cases it may be largely random in nature and difficult to predict.

- a) **Predictable Demand Variations:** Many businesses are subject to periodic cycles. These cycles may be daily (variations by hour), weekly (variation by day), monthly, seasonal and/or yearly. Try to identify services which may exhibit these types of predictable demand variations. For example, in case of a hotel there may be variation in demand on different days with business travellers going back on weekends, thereby reducing the demand. A hotel may also witness seasonal variation with high demand during a particular season due to large inflow of tourists. A restaurant faces hourly variations with low demand during 3.00 – 7.00 pm. (happy hours being offered by many restaurants during these times, with large price discounts). Amusement parks have greater demand during weekends as compared to weekdays and also greater demand is witnessed during school vacations.

As marketers you must find out if such predictable cycles exist in your business. If it is so, then you must find out and analyse the causes of these cyclical demand variations. Do these happen because of seasonal change, employment schedule, salary dates, school vacations, public or regional holidays etc? A proper analysis of these causes will help you in devising suitable strategy for managing the demand fluctuations.

- b) **Random Demand Fluctuations:** At times the demand pattern may appear to be random with no apparently predictable cycle. Some degree of random variation in demand is faced by virtually all service firms. Although such variations cannot be predicted, marketers should nevertheless understand the underlying causes that typically cause them. For example, bad weather may result in an unexpectedly low customer turnout at a movie hall or an amusement park. A disaster like accident, floods etc. may result in higher demand for health services and telecommunication services. A proper understanding of the underlying causes will prepare you to deal with such random demand fluctuations.

In order to understand the demand patterns and underlying causes, it may be useful to do a segmentation analysis. Different segments of customers may reveal different patterns as well as causes. Such an analysis will help you in pinpointing underlying causes of demand fluctuations and in identifying certain peak of specific customer categories. This may help you in identifying certain segments which could be easily diverted to off-peak periods. You may also discourage segments that are not profitable or are inconsistent with the service image, at least during peak periods.

Once you properly understand the above issues you can suitably device strategies for matching demand and capacity.

Activity 2

Select a restaurant in your neighbourhood and find out its demand patterns and also identify the underlying reasons.

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13.3 STRATEGIES FOR MATCHING CAPACITY AND DEMAND

Managers can use a wide variety of strategies for matching capacity and demand. This requires a clear understanding of demand patterns as well as the organization's capacity constraints. The strategies to be adopted can be broadly divided into two categories:

- 1) Changing demand to fit supply (capacity) – marketing mix strategies
- 2) Changing supply (capacity) to fit demand – input scheduling strategies

Let us discuss the above two strategies in detail.

1) Strategies for Managing Demand

The organization should determine the optimum level of demand for its given capacity. Once this has been determined, it can vary its marketing mix elements of product, price, place and promotion to change demand in line with the capacity.

a) Product: As a service provider you can alter the service offering to even the demand. The changes in service offering may be seasonal or based on days of the week or time of the day depending on the nature of demand fluctuations. A hotel for example may focus on weekend family entertainment and recreation package to cope up with low demand from business executives during weekends. A management institute may offer more management development programmes during the vacation period of its regular management programme students. However, as marketers you must ensure that by offering different types of services the image or positioning of the service firm is not diluted or confused. Increasing demand during slack period doesn't mean that you should take business from any segment that is available.

b) Pricing: The demand curve suggests that quantity of product demanded varies with the price. Many service marketers reduce price during the periods of low demand to increase the demand. Airlines offer low fares during odd hours like late night flights, movie theaters offer a lower price ticket for the morning show, hotels offer large discounts during off seasons and also higher than normal prices during say Christmas or New year, restaurants and many retail outlets offer happy hours wherein discounts are offered. Using price as an effective tool for managing demand would require a proper understanding of the demand curve – its shape, slope etc.

Also, you should appreciate the existence of different demand curves for different segments during the same time period. As marketers you may also face an additional challenge when multiple segments are served at the same time and these segments have paid different prices. This requires putting in certain usage conditions (for example for availing low priced fares in airlines customers have to book in advance and there are higher cancellation charges) and/or providing value enhancement to higher paying customers.

c) Place (Distribution): Many service firms modify their time and place of delivery as a strategy to match demand and capacity. Bank may change its timings on specific days or during specific period, finance companies use mobile vans for distribution and collection of forms, many hospitals have created satellite clinics to deal with routine consultations, tests and medical services.

d) Promotion: You can also shift the demand by properly communicating with your customers. The customers should be made aware of the peak timings of the demand and also the

benefits they can get in availing the service during non-peak timings. They should also be properly informed about changes in product, pricing and distribution. This can be done by putting signages at the service outlets (like banks) or advertising. Service firms can also use sales promotion to manage demand. Many airlines offer free ticket for companion in the business class, some business hotels offer free stay for spouse during the weekend stay. Proper promotional strategy can help the service organization in shifting demand from high to low period as well as stimulating demand during low periods.

e) **Physical Evidence**

To meet demand from various market segments, airlines even alter the seating arrangement on their aircraft. There may not even be a business class section on some aircraft. There may be a sizable percentage of business class seats on routes when there is a high demand for the business class service. Similar to this, resort hotels frequently change the composition and emphasis of its various services, such as dining, entertainment, and sports, to suit their visitors' seasonal preferences. Given that these businesses are aware that no amount of price reduction would likely result in higher sales during the off-season.

f) **People**

A regular or loyal customer base may be given preference and special treatment. Some establishments, such as a gym, have an unofficial procedure in place where service staff is informed that specific customers will not have to wait as long if they arrive at the designated hour. However, making reservations is a more formal action that would greatly increase demand predictability.

g) **Process**

The service process can be made flexible in order to encourage customer participation when demand is high. For example, Self-service operations may be encouraged in such circumstances. In order to give the consumer flexibility with the services they need, the service operation might also develop complementary services. For example, if a customer observes a long queue at the supermarket's ready-to-eat food section, they can decide to shop in the produce section instead and return when the line is shorter.

Activity 3

Select any service organization and analyse how it uses its marketing mix elements to influence demand.

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2) Strategies for Managing Capacity

Managing capacity involves changes in different components of the resources of a firm like people, facilities, equipments, time etc. By making changes in these components, you can achieve a better match between demand and capacity.

- a) **Using Part-time Employees:** During periods of peak demand, service firm may hire additional part-time employees. This helps in increasing capacity as well as reducing costs. However, issues like attitude of part time employees, training concerns, higher turnover etc have to be properly addressed.
- b) **Employees Working Overtime:** Some of the concerns raised above regarding part time employees can be eliminated by having employees work over time. However, working for longer hours may have adverse impact on service quality and also involves higher costs as overtime charges are generally at higher rates.
- c) **Cross Training Employees:** Cross training of employees results in a flexible capacity, wherein employees can perform several different jobs. Southwest Airlines strongly believes in this philosophy. The same employee may move from ticketing to gate counters. This helps in avoiding underutilization of resources and also increasing the efficiency of the employees.
- d) **Scheduling:** During peak demand periods people, facilities, and equipment are used at full capacity. However, facilities and equipment also require proper maintenance. This can be scheduled during periods of low demand. Similarly, for human resources, off-peak periods can be used for training purposes as well as for granting vacations.

In addition to the above, service firms can also meaningfully manage its capacity by increasing customer participation (customers can be used as productive resources e.g. self-service in restaurants), outsourcing, modifying the capacity (e.g. reconfiguring hotel rooms), renting facilities or equipments, and taking a subcontract work.

The strategies discussed above for managing demand and capacity have been summarized in Table 13.1

Table 13.1: Strategies for Matching Demand and Capacity

	High Demand/Slack Supply	Slack Demand/Over Supply
Managing Demand (Changing demand to fit capacity)	▫ Educate customers to curtail usage during peak periods (through signages or advertising) ▫ Offer incentives for usage during non-peak periods ▫ Charge full price—no discounts or premium pricing ▫ Take care of regular customers first	▫ Modify service offerings ▫ Offer discounts, sales promotion schemes ▫ Modify hours of operations ▫ Bring service to the customers
Managing Capacity (Changing capacity to match demand)	▫ Hire part-time employees ▫ Keep employees overtime ▫ Cross train employees ▫ Outsource, rent facilities/equipments	▫ Schedule training of employees ▫ Maintenance, repairs, renovations ▫ Schedule employee vacations ▫ Take on subcontract work

13.4 YIELD MANAGEMENT

Yield management is a method for managing demand and capacity profitably by service organizations. It extensively uses computer-based technology to study patterns in consumer behaviour in order to manage differential pricing. Yield management has gained widespread acceptance in airline and hotel industry. It helps a firm sell the right capacity to the right type of customer, at the right time for the right price. Put in simple terms,

$$\text{Yield} = \frac{\text{Actual revenue}}{\text{Potential revenue}} = \frac{\text{Actual capacity used} \times \text{Average actual price}}{\text{Total capacity} \times \text{Maximum Price}}$$

It is a measure of the extent to which an organization's resources are being used to their full revenue generation potential. Yield can be increased by an organization by a properly planned differential pricing strategy. Yield management techniques are useful and appropriate:

- i) when a firm is operating with a relatively fixed capacity,
- ii) when demand can be segmented,
- iii) when inventory is perishable,
- iv) when the product is sold in advance,
- v) when demand fluctuates substantially, and
- vi) where marginal sales cost is low, but capacity change costs are high (Sherly Kimes, 1989).

Yield management may require a lot of mathematical programming, economic models and expert systems.

Take the example of an airline. It may not be in a position to sell all its seats at full prices. This may result in a number of seats remaining vacant. Once an aircraft takes off with vacant seats, that capacity is lost for ever. Considering that incremental cost of taking additional passengers is low, airlines offer discounted / apex fares with certain conditions, in order to bring in more revenues and increase the yield. Same is the case with hotels.

$$\text{Yield in case of hotel would be} = \frac{\text{room - nights sold} \times \text{actual average room rate}}{\text{room - nights available} \times \text{published room rate}}$$

Take a hypothetical example of a 100-room hotel with a rate of Rs. 2,000 per night i.e., potential revenue is Rs. 2 lakh per night. However, it doesn't get full occupancy at these rates and attract only 50% occupancy, resulting in a yield of 50 percent. On the other hand, if the room rates are reduced by 40% i.e., to Rs. 1,200 per night, it attracts 100% occupancy. In this case the yield becomes 60%

$$= (1200 \times 100) / (2000 \times 100)$$

However, a combination of the two can be a better alternative for the hotel. Selling 50% of the rooms at full tariff and remaining 50% at reduced tariff of

Rs. 1,200 would result in higher yield $\left(\frac{160,000}{200,000} \right)$ of 80 percent.

In order to make yield management successful, the marketers should identify the main market segments being served / those can be served. The next step would be to do a proper sales forecast for each segment at particular price levels. Based on this forecast a proper mix of different customer segments at different times can be suggested for maximizing the yield. These steps should be done on a continuous basis so as to adjust to the changing market conditions as well as making use of greater information available about segment wise demand patterns.

Managerial Implications

Sherly Kimes in her widely quoted article "Yield management – A tool for capacity constrained service firms (Journal of Operations Management, Oct. 1989) has identified a number of management issues to be taken into account while implementing a yield management system. While yield management may give a firm competitive advantage, it could also result in the following:

Loss of competitive focus: As most yield management systems focus on maximizing revenue or yield, it may result in neglecting important issues like service quality. That is to say, short term profit maximization may over shadow long term competitive advantages.

Customer Alienation: A customer who pays a higher price for a service than other customers may feel alienated and dissatisfied. He may consider it to be unfair to him. Therefore, proper customer education should be an integral part of any yield management system to be effective.

Employee Morale Problem: Yield Management seems to take away discretion from sales and reservation people. Therefore, it should be properly structured to allow for some judgment on the part of the employees.

Lack of Employee Training: A yield management system will require extensive training of all employees. They should understand its objectives as well as its operation and how it affects their jobs.

Also, in order to make the yield management successful a strong information system within the organization as well as commitment from the top management is essential.

13.5 MANAGING CUSTOMER WAITING

In the previous sections you have learnt about demand patterns and strategies to match demand and capacity. However sometimes it is not possible to match demand and capacity and waiting by customers become inevitable. Waiting is a common phenomenon at hospitals, restaurants, banks, hair cutting saloons etc. In such situations waiting time becomes one of the key factors in consumer's evaluation of service. While reducing waiting time is important for marketers, it is equally if not more, important to reduce the customer's perceived waiting time. If a customer's perceived waiting time is less, he will be more satisfied with the service. Thus, service waits can be controlled by two broad techniques viz. Operations Management and Perception Management.

1. **Operations Management:** It involves reducing the amount of time customers have to wait. This can be done in a number of ways. Firstly, the firm should analyse its operational processes in order to identify and remove inefficiencies or bottlenecks, if any. Secondly, in case waiting cannot be avoided, a reservation system can be used. This will help in getting the customer out of a queue. Thirdly, customers can be encouraged to use the facilities during non-peak hours. Fourthly, greater use of online information technology can be made wherein customers can use mobile phone, computers, etc to conduct business. For example, banks can deploy ATMs, provide mobile banking and internet banking to reduce pressure at the branches. Lastly, as marketers you can also differentiate waiting customers wherein some customers may wait for more time while others receive a quicker service. The differentiation can be done on the basis of a number of factors like importance of the customer, urgency of the job, duration of the service transaction and payment of a premium price. In case queues cannot be avoided, the organization has to decide on the type of queuing system to be adopted. There are number of possibilities in this regard. Take for example the computerized railway reservation centres wherein there are multiple- queues and the customer has the option to join whichever queue he wants to and can also switch over to other queue if the wait appears to be shorter in that. Another option is to have a single queue system wherein first cum first serve rule applies to everyone. A slight variation of single queue system can be that each customer on arrival is given a number and waits at the reception area enabling the customer to sit, relax and mix up with other customers.

Exhibit 13.1. Managing Waiting Lines at Sri Venkateswara Temple, Tirupati

Thousands of pilgrims visit the Sri Venkateswara Temple every day. ‘Sarvadarsanam’ (darshan for all) timings are different on different days of week. On normal days, about 18 hours are allotted for Sarvadarsanam and on peak days it is open for 20 hours. There is also a provision of ‘Special Darshan’ on purchase of tickets. Pilgrims who use the queue for Special Darshan have a shorter waiting time. This queue merges with the Sarvadarsanam queue at a fixed point and the darshan timings are the same as that for Sarvadarsanam. The Sudarsanam token system was introduced to minimize the waiting time for Sarvadarsanam, Special Darshan and other paid darshan/sevas. Some of its features:

- The tokens are available free of cost at a number of convenient places in the town.
- The time for darshan is indicated on the token.
- Pilgrims can enter the Vaikuntam Queue Complex at Tirumala at the time indicated on the tokens.
- They can have darshan within two hours of entering the Queue Complex.
- As this system saves on waiting time, it provides pilgrims with enough time to visit temples in the vicinity.
- In order to keep a track of the number of pilgrims and ensure their smooth flow, one token is issued per head. Collective tokens for groups are not issued.

Source: www.tirumala.org

2) **Perception Management:** Limited success of operations management in waiting line management has led to increased interest in managing the perceptions of wait experience. If you cannot control the actual wait duration, then control the customer’s perception of it. Maister has proposed following eight principles that you can use as service marketers to influence customer’s perception of waits and their satisfaction with waiting lines

- Unoccupied time feels longer than occupied time.
- Pre-process waits feel longer than in-process waits.
- Anxiety makes waits seem longer.
- Uncertain waits are longer than known, finite waits.
- Unexplained waits are longer than explained waits.
- Unfair waits are longer than equitable waits
- The more valuable the service, the longer the people will wait.
- Solo waiting feels longer than group waiting.

Therefore, you should appreciate that though operations management techniques are important, however, while developing strategies for waiting lines you should never overlook the effects of perceptions management. The following suggestions can be used in order to make waiting fun or at least tolerable.

- 1) Determine the acceptable waiting time for your customers.
- 2) Since unoccupied time feels longer than occupied time, keep customers occupied by installing distractions that entertain and physically involve them. For example, television sets can be installed in the waiting areas, magazines or reading materials related to the service can be provided.
- 3) Provide 'waiting duration information' i.e., information about the expected length of a wait and/or 'queuing information' i.e., a consumer's position in the queue, with continuous updates. Michael Hue & David Tse suggest that in short waits, no information is needed. In case of intermediate waits, waiting duration information appears to be a better choice than queuing information. However, in case of long waits, waiting duration information may be less effective than queuing information. Also providing queuing information is more important as compared to waiting duration information when service organization has difficulty in accurately estimating the length of wait or when the waiting line is not visible to customers.
- 4) If unexpected delays occur, explanation should be given to the customers. This helps in reducing uncertainty and customer irritation. The key is to impress upon the customer that he has not been forgotten. Simple things like providing a glass of water or a cup of tea to the waiting customer can help.
- 5) Try to modify customer arrival behaviour.
- 6) Keep resources not serving customers out of sight. This can be done by keeping idle employees out of view and conducting activities that do not involve customer interactions out of the customer's sight.
- 7) Try to reduce pre-service waiting by transferring some of the pre-service waiting to the service encounter phase. For example, menu cards may be provided to the customers while waiting, to decide on their orders, medical information may be collected from the patient prior to actually meeting the doctor.
- 8) A smiling service person who knows his job well can be very helpful in overcoming many negative effects of waiting. Therefore, training and incentives / rewards for providing good service should be made.

Virtual Queue

Customers can wait remotely by using their mobile phones, queuing apps, and online booking systems to reserve their place in a virtual queue, and they will be notified when their virtual queue time is up. There is no need for a physical waiting line because the position in the queue is secured. Virtual queuing aids in the improvement of operations and perception management techniques for service waits. The advantages of virtual queuing include

the ability to book services at your leisure; streamlined communication; reduced wait times; better customer flow management; improved staff efficiency and service quality; and increased customer satisfaction. Using a virtual queuing system also provides service providers with performance and customer data, which is useful for continuous service improvement.

13.6 SERVICE GUARANTEES

When you buy consumer durables like refrigerator, T.V., Washing machine etc., they invariably come with a product warranty wherein the company agrees to replace or repair the product if something goes wrong. But what about services? Some service firms are offering service guarantees, which may take the form of a satisfaction guarantee or a guarantee of a specific aspect of service delivery. A bank may offer a guarantee that an account will be opened or a credit card will be issued within a specified number of working days; otherwise, it will pay the customer a specified amount depending on the period of delay. A restaurant may offer home delivery within a guaranteed time, say 30 minutes, failing which the customer may be given specified price-offs. A hotel may offer a unconditional satisfaction guarantee.

A good guarantee can act as a marketing tool for attracting customers as well as help in retaining customers. It also helps in cultivating and maintaining quality throughout an organization. Some of the benefits of an effective service guarantee are highlighted below.

- i) Implementing a guarantee forces a company to focus on customers.
- ii) Offering a guarantee provides employees with a service-related goal and facilitates goal alignment between employees and the organization. It can also increase employee morale and loyalty.
- iii) It encourages customers to complain and provides the opportunity to the organization to make amends, thereby retaining the customers.
- iv) Invoking of guarantee by the customer guarantees important and immediate customer feedback. In the long run, analysing information collected about why guarantees were invoked by customers can provide meaningful information for making improvements in service design and delivery.
- v) A well-designed service guarantee can lead to increased service quality expectations, lower perceived risk and increased purchase intent.
- vi) Service companies have a greater opportunity than manufacturers to differentiate themselves through a guarantee.

Features of a Good Service Guarantee

A service guarantee can take the form of an unconditional guarantee of satisfaction or specific outcome guarantees, allowing a company to spell out exactly which elements of the service it wants to stand behind. Whatever may be the type of guarantee, there are certain features which make the guarantee effective. Hart summarises them into the following main characteristics:

- i) Unconditional: A guarantee should not have “ifs”, “ands”, or “buts”. It should make the promise unconditionally.
- ii) Easy to Understand and Communicate: It should be simple for both customers and employees to understand what to expect and what to do. The message should be short and memorable, and the standard should be clear.
- iii) Meaningful: The guarantee should be meaningful in terms of what is being promised (things that customers care about) as well as in terms of the pay-out.
- iv) Easy to Invoke and Collect: A good guarantee should be easy to invoke. Service marketers should understand that once poor service has been delivered, easy and quick settlement should be ensured

Activity 4

Identify a few service providers who offer a service guarantee. Evaluate these guarantees on the characteristics of an effective guarantee discussed above.

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13.7 SUMMARY

This unit deals with issues related to managing demand and capacity in service organizations. Considering the fact that services are perishable, demand fluctuation is considered to be a somewhat serious problem for services marketers. A service organization with a fixed capacity may be faced with four different situations viz. excess demand, demand exceeding the optimum capacity level, demand and supply being balanced at the optimum capacity and excess capacity. The first step towards developing strategies for matching demand and capacity is to study the demand patterns and the underlying causes. The strategies for matching demand and capacity can be broadly divided into two categories – changing demand to fit supply and changing supply to fit demand. These two strategies have been discussed in detail in this unit. Subsequently yield management technique for managing demand and capacity profitably has been explained. Despite strategies for matching demand and capacity being in place, waiting by customers becomes inevitable in a number of service industries. Service waits can be controlled by operations management and perceptions management. Finally, the unit outlines that for a service guarantee to be effective, it should be unconditional, easy to understand and communicate, meaningful and easy to invoke.

13.8 KEYWORDS

Capacity Management entails changes in various components of a firm’s resources such as people, facilities, equipment, time, and so on in accordance with demand

Demand Management involves varying marketing mix elements of product, price, place, and promotion to adjust demand in accordance with capacity.

Excess capacity: When demand is less than optimal capacity, resources are underutilised.

Excess demand occurs when demand exceeds maximum available capacity.

Service guarantee is defined as a statement that explains what customers can expect from the service and what the company will do if it fails to deliver.

Service Waiting: It is sometimes not possible to match demand and capacity, and customer waiting becomes unavoidable. Service wait times can be reduced using two broad techniques: Operations Management and Perception Management.

Virtual Queue: Customers can wait remotely by using their mobile phones, queuing apps, and online booking systems to reserve their place.

Yield management is a method for managing demand and capacity profitably by service organizations.

13.9 SELF ASSESSMENT QUESTIONS

1. Explain why is it important for service organizations to match demand and capacity. What are the implications of a mismatch between the two?
2. Explain the significance of determining the demand patterns. Select any service organization of your choice and describe its demand patterns and its underlying causes.
3. Describe the strategies for matching supply and demand giving suitable examples.
4. Explain the term 'Yield Management'. Identify some of the managerial issues to be taken into account while implementing a yield management system.
5. Select a service organization you are familiar with, where customers have to wait in line for service. Develop a waiting line strategy for the organization.
6. What are the benefits derived by a service firm in offering a service guarantee? Discuss the characteristics of a good service guarantee.

13.10 PROJECT QUESTIONS

Select a service organisation and identify and explain its specific patterns of demand:

- (a) What is the nature of this service organization's capacity and demand management strategy? (b) What changes in capacity and demand management would you recommend, and why?

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UNIT 14 EMERGING ISSUES IN MARKETING OF SERVICES

Learning Outcomes

After studying this unit, you should be able to:

- appreciate the role of self-service technologies.
- explain significance of customer relationships and customers retaining for service companies.
- assess the changing services scenario.
- explore the emerging trends in the marketing of services.

Structure

- 14.1 Introduction
- 14.2 Self-service technologies (SSTs)
- 14.3 Customer Relationship Management (CRM) and Customer Retention
- 14.4 The Changing Services Scenario
- 14.5 Emerging Trends
- 14.6 Summary
- 14.7 Key Words
- 14.8 Self-Assessment Questions
- 14.9 Project Question
- 14.10 Further Readings and References

14.1. INTRODUCTION

The customer service arena is undergoing an enormous shift. Digital transformation, and the widespread availability of new technologies, is rapidly changing the way customers and companies interact. Most consumers have a host of devices at their disposal – phones, iPads, computers, and even pen and paper. Omni channel customer service is a reality. Price comparison sites, peer review platforms and social media has made today's savvy consumers increasingly well informed about the best deal or most suitable product and services as per their needs. Companies need to see the bigger picture and have information of all these interactions at their fingertips, so that customer service agents can join the dots and deliver seamless service to their clientele. Employees' friendliness, helpfulness and competence have become important with the speed of service. They need to utter WOW, after they experience a speechless delight. Small, joyous moments and an improved mood is that surprise which is a crucial component. In customer service, "surprise reciprocity" is the name of the game. It is important to figure out what customers do not expect, and then provide that.

Making sure that the customer service channels are operating as they should, is of key importance. There can be nothing more frustrating than dropped calls, crackly phone lines and unclear processes. Monitoring flags customer

experience issues in real time and enabling companies to react quickly to any potential fault or problem. As customer service functioning becomes less of an IT issue and more of a central part of a company's operation, monitoring and testing is critical in meeting customer expectations and giving companies the competitive edge.

This unit begins with a discussion on self-service technologies; the importance of CRM and retaining customers. The unit further explains the emerging issues of service marketing such as connectivity, the f-factor in marketing communication, advocacy, and mapping the customer path to purchase.

14.2 SELF-SERVICE TECHNOLOGIES (SSTs)

Self-service technologies (SSTs) enable customers to create a service without any direct involvement of a service employee. SSTs include ATMs, online banking, train ticketing apps, self-service scanning at supermarket checkouts, and a variety of other online and app-based services. SST usage includes not only supplementary services like getting information, placing orders and reservations, and making payments, but also the delivery of core products in industries like banking, research, entertainment, and self-paced education. These technologies are increasingly being enhanced and facilitated by AI-based tools such as chatbots and service robots. Even traditional face-to-face or over-the-phone consultation and sales processes have been transformed into self-service processes through the use of electronic recommendation agents. These technologies enable companies to improve their customer relationships, provide multi-way information flow and more personalised services, improve analytics, and increase productivity and profitability.

SSTs can expedite purchases while also allowing individuals to handle these transactions at their own pace. However, digital self-service may not be the best fit for many technologically challenged individuals because it can appear too complicated to those unfamiliar with the system. Let us discuss some of the key benefits and drawbacks of using SSTs:

Benefits

Greater convenience: SST machines are conveniently located and accessible 24 hours a day, seven days a week. A website is as close as your computer or smartphone, making it far more accessible with timing flexibility and time saving.

Improved accuracy:

As consumers get more involved in what they are ordering, the overall accuracy of service improves.

Personalized experience

Firms can use AI tools powered by data analytics to log every event on the screen, generate and report customer insights, and improve SST performance to provide not only personalised experiences but also consistently improve service quality.

Reduce wait time

Use of SSTs significantly reduces wait times because they process every order without delay and are directly controlled by the customers.

Information sharing

It allows customers the freedom to access information more quickly than by finding and consulting with a customer service agent.

Drawbacks

Equipment failures: Machines can fail at any time, preventing transactions from being completed. For example, at the time of need, cash cannot be withdrawn from an ATM due to a problem with the ATM or a shortage of cash. This distress can overshadow the benefits of SSTs.

High initial costs: Installing self-service systems and committing to ongoing maintenance costs may be costly, especially if they are used in a limited number of locations.

Lack of human interaction: When minor issues arise, such as price discrepancies, items failing to scan, or splitting payments between cash and debit cards, the lack of in-person assistance becomes especially problematic. Furthermore, some people may regard service encounters as social experiences and prefer to interact with people. This is especially true in services where social robots replace human interactions, such as child care or elderly care.

Activity 1

Recall any of your service experience with self-service technologies (for example, online ticket booking, use of ATM etc.) and explain its benefits and drawbacks.

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14.3 CUSTOMER RELATIONSHIP MANAGEMENT (CRM) AND CUSTOMER RETENTION

Customer relationship management (CRM)

With the introduction of technology and the far-reaching impact of technological interventions in general and IT-enabled services in particular, the interface of service encounters and service delivery has changed radically. As mentioned in the previous section, many services are delivered via internet-based platforms, mobile APPs, and SSTs. The innumerable benefits of technology-enabled services compel marketers faced with the newer challenges of service process and delivery management to nurture and monitor on a continuous basis by implementing Customer Relationship Management as a decision support system.

Customer relationship management (CRM) enables service providers to provide a unified customer interface that allows for customization and personalization. CRM systems collect customer data from various channels such as the company's website, social networks, live chat, direct mail, and other communication channels and provide personal information, purchase history, purchasing preferences, and concerns to customers throughout the customer lifecycle in order to provide better and faster customer service. The purpose is to strengthen customer service relationships, aid in customer retention, and increase sales.

Benefits of CRM

- Access to a customer's previous purchases and interaction history can assist service personnel in providing better services as well as developing better marketing strategies.
- Repetitive customer support tasks can be automated.
- Analysis of customer data can help service firms identify trends and insights about their customers through reporting and visualisation features.

IMPORTANCE OF CUSTOMER RETENTION

The importance of retaining customers should be properly understood by service marketers. It is the cornerstone of a successful service. Generally, the longer a customer stays with a company, the more that customer is worth. It influences employee and supplier loyalty as well, as people like to work for companies whose customers are loyal. It also produces profits that influence shareholder loyalty. In fact, this all results in a positive spiral. Employee retention and loyalty result in high quality of services, which leads to customer satisfaction and delight, which makes the customer stay with the organisation and increases its profitability, which in turn increases employee loyalty. This sequence is shown diagrammatically in Figure 14.1.

Figure 14.1: Underlying logic of customer retention benefits to the organization



Source: Zeithaml and Bitner, *Services Marketing*, Tata McGraw Hill, 2nd Edn. 2000, p. 143)

Why are customers more profitable for service firms over long periods of time? There are a number of reasons for this. To begin with, to acquire a customer, a company incurs promotional costs like advertising, sales promotion, personal selling, etc. It is said that it costs five times more to attract a new customer than to retain one. The operating costs decrease when

a customer stays. Services being rich in experience and credence qualities, it takes some time for customers to get accustomed to it, and once they are used to the service and are satisfied with a service provider, they tend to purchase more over a period of time. As long as they remain satisfied with a service provider, they will spread positive word of mouth, which is extremely effective in the case of services for attracting new customers. The longer the customer stays with an organization, the more the organisation knows about him, which enables it to offer customised services that make it difficult for the customer to defect. This may even provide opportunities for the organisation to charge price premium by offering individualised services that may be difficult for competitors to offer.

Considering the importance of retaining customers in the service business, Reichheld & Sasser coined the term “zero defection”. They highlighted that companies can boost profits by almost 100% by retaining just 5% more of their customers. In their pathbreaking article “Zero Deflections: Quality Comes to Services” (Harvard Business Review, Sept.–Oct., 1990), they conclude that “Just as the quality revolution in manufacturing had a profound impact on the competitiveness of companies, the quality revolution in services will create a new set of winners and losers.” “The winners will be those who lead the way in managing towards zero defection.” You should appreciate, as service marketers, that when you lose a single customer, you do not lose a single order but a lifetime opportunity of profitability with that individual. You must therefore understand the lifetime value of a customer.

14.4 THE CHANGING SERVICES SCENARIO

Personalization

In order to encourage relationship building, a new service marketer is creating marketing strategies that place an emphasis on human interaction during service delivery. However, as technology spreads, the human element is given less importance. Internet transactions like online banking and check-in are being encouraged by marketers because they cut down on human interaction and promote process standardisation.

Customer Expectations

Consumer behaviour research is being used more frequently by marketers, who can now quantify customer expectations and work to provide offerings that match consumers’ perceived value. Additionally, marketers are successfully analysing consumer purchasing behaviour and creating targeted advertisements based on the behavioural study due to the increased use of consumer databases via tools like credit cards, loyalty cards, and others.

Credibility

By putting more emphasis on Emotional Selling Propositions than Unique Selling Propositions, marketers are concentrating their efforts on presenting themselves as businesses that successfully deliver on their promise. Companies employ both above- and below-the-line marketing strategies, and it has been observed that modern consumers favour public relations and branding above paid advertising.

Simplification

To give customers quick and easy access to service providers and information, new cyber channels are now being used as information mediators. Most marketers are developing dynamic, appealing marketing tools like websites that make it simple, pleasant, and convenient for customers to use services.

Internationalization

Multinational service brands are increasingly dominating the service market. This is mostly because big businesses can invest in developing technology to keep up with escalating client demands. They can employ sophisticated CRM systems to help with customer promotion and marketing of the brands. For instance, internet travel agencies like AirBnB have hosts in many different nations, which has allowed them to build up a comprehensive database of customers and their preferences. It employs the CRM software to advertise tailored services to specific customers depending on their preferences after using this data and technology like artificial intelligence.

Bundling

It is a practise of combining additional service with a basic offering. Additionally, it aids in reducing the impact of intangibility's fundamental quality on the promotion of consumer services. For instance, the majority of hotels today offer a package deal that includes complimentary breakfast and room reservations. The accommodation service in this instance serves as the primary or fundamental offering and is provided via the reservation of a room. The hotels offer complimentary breakfast as a way to add a physical component to this service, combining the intangible service of lodging with the tangible component of breakfast.

Rationing

In order to address the challenges of a high rate of return on investment, marketers are making major efforts to optimise production per unit of service. The function of marketing has shifted to become more analytical in nature.

Virtual Experience

Marketers often use technological tools like virtual reality to deliver services or just as a replacement for services. In order to encourage client interaction and foster trust in the service provider, marketers are also creating forums and fan groups. For instance, the firm Zoom, which offers online video conference services, launched the functionality of break-out rooms in 2020. This feature was added to provide the students and participants a chance to interact in smaller groups while a live online session was still in progress.

Market Spaces

A growing number of service consumers for enterprises have already been drawn to the innovative cyber market. Currently, it is the method of distribution that works best for service providers. Hotels, broadband services, and the airline industry are just a few examples.

Multi-Dimensional Competition

The marketers are making an effort to present themselves as providers of non-traditional services. To position their service as a custom package

for their target market, marketers are using niche and focused marketing methods.

Marketers must respond to this transition and adjust their strategies to meet consumer expectations as a result of all of the aforementioned changes. As a result, marketers have consistently been motivated to deepen their understanding of the constantly changing marketing landscape and consumer behaviour.

14.5 EMERGING TRENDS

14.5.1. Vertical/horizontal

Globalization has created a level playing field. Smaller, younger, and locally based companies do compete against bigger, older, and global companies. It is being realised that a company can be more competitive if it can connect with communities of customers and partners for co-creation and with competitors for co-opetition. Innovation is now no longer vertical (from companies to the market) but is becoming horizontal. Eventually, it is realised that the rate of internal innovation is not fast enough to be competitive in the ever-changing market. Procter & Gamble (P & G), for example, learned this early in 2000, when its sales of new products flattened. It later transformed its research-and-develop model into a connect-and-develop model. The horizontal model relies on outside sources for ideas and that in turn can be commercialised using internal P & G capabilities. Its rival, Unilever, has been moving in the same direction by capitalising on its vast external innovation ecosystem.

Similarly, the concept of competition is changing from vertical to horizontal. Technology is the main origin. With the internet, smaller companies and brands no longer experience physical logistical hurdles. This inclusivity enables companies to enter industries that they would not otherwise have entered in the past. This provides opportunities for companies to grow and poses significant competitive threats as distinctions between industries are disappearing and it is a challenge for companies to keep track of their competitors. A few years ago, taxi companies and hotel chains would not have imagined competing for passengers and guests with technology start-ups such as Uber, Ola, and Airbnb, which provide private transportation and lodging. To spot latent competitors, companies have to start with the customers' objectives and consider potential alternatives that customers might accept to achieve their objectives.

14.5.2. Connectivity

A survey by Google reveals that screens now facilitate 90 percent of our interactions with media: smartphones, tablets, laptops, and television screens. Screens are becoming so important in our lives that we spend more than four hours of our leisure time daily using multiple screens sequentially and simultaneously. Behind these screen-based interactions, the internet has been the backbone. Connectivity transforms the way customers behave. When shopping in-store, most customers would search for price comparisons and product reviews. Google research shows that eight out of ten smartphone users in the United States do mobile research in-store. Even

when watching television advertising, more than half of the TV audience in Indonesia conducts mobile searches. Customers from the same or lower class emulate and pursue a similar experience. Communal rating sites such as TripAdvisor and Zomato are laser-focused on the restaurant business, empowering customers to make informed choices based on the wisdom of the crowd. This is a trend-affecting customers globally. Derivative products on the internet also enable transparency. Social media such as Twitter and Instagram enable customers to show and share their customer experience, which further inspires other customers from the same or lower class to emulate and pursue a similar experience. No doubt, online businesses have taken up a significant portion of the market in recent years, but it has not replaced offline businesses completely. In fact, both are coexisting. Therefore, in an increasingly high-tech world, high-touch interaction can become the new differentiation. The characteristics of the new customers lead us to realise that the future of marketing will be a seamless blend of both online and offline experiences across customer paths.

In a highly connected world, a key challenge for brands and companies is to integrate online and offline elements into a total superior customer experience, and that is what matters the most. Even as connectivity empowers customers with abundant information, customers have also become overly dependent on others' opinions, which often outweigh personal preferences. Word of mouth is becoming increasingly important in final purchase decisions. The average human attention span has dropped considerably, which can be attributed to the massive and overwhelming volume of messages that constantly bombard our connected mobile devices and demand instant attention. The challenge for marketers is twofold. First, marketers need to win customer attention. It would be hard for a brand manager to get a customer to sit through a 30-second advertisement and for a salesperson to engage a customer using a 30-second briefing, so it is more difficult to get a brand message across. Customer attention will be scarce; thus, only brands with WOW! Factors will be worthwhile for them to listen to and to advocate. Second, marketers need to create brand conversations in customer communities of loyal advocates despite not having much control over the outcome.

14.5.3. The f-factor/ marketing communications

Customers in the past were impacted by marketing campaigns. They also sought for and listened to authority and expertise. But recent research across industries shows that most customers believe more in the f-factor (friends, families, Facebook fans, Twitter followers) than in marketing communications. Most put their queries on social media for advice and trust them more than they trust advertising and expert opinions. In recent years, this trend has fuelled the growth of community-based rating systems like TripAdvisor and Yelp. Customers are no longer just targets for a brand in this context. With the help of their communities, customers safeguard themselves. Customers are to be treated as peers and friends of the brand, and therefore, authentic character and true value have to be precipitated for a brand to be trustworthy.

14.5.4. Increasing Social Conformity

Customers are driven by both individual preference as well as a desire for social conformity when making purchase decisions. No doubt, they differ in the level of importance they give to these two factors depending upon the categories. With the kind of connectivity customers have today, the importance of social conformity is increasing across the board. Customers care more about the opinions of others, share their opinions, and compile huge pools of reviews. With these reviews, they paint their own image of companies and brands, which can be dissimilar from the image that companies and brands intend to project. The internet, especially social media, has facilitated this major shift by providing the platform and tools. Customers conform more to social opinions as they depend on their network to have the insight to make better purchase decisions. In such an environment, the most personal purchase decisions are becoming social decisions.

14.5.5 Competition/ collaboration/ co-creation

Connectivity has accelerated market dynamics to the point where it is virtually impossible for a company to stand alone and rely on internal resources to win. Competition is no longer a zero-sum game. To win, a company must accept the reality that it must collaborate with competitors and external parties, as well as involve customer participation in co-creation. We have already discussed the success of Procter and Gamble's (P & G's) Connect + Develop program, instead of protecting the brand equity of Febreze as its own competitive advantage, P & G licences the trademark for new categories.

14.5.6 Positive/ Negative Advocacy

The most popular measurement of brand advocacy is arguably the Net Promoter Score, designed by Frederick Reichheld (2007). He argues that there are three broad categories of customers with regard to their attitude toward a brand: promoters, who recommend the brand; passives, who are neutral; and detractors, who are unlikely to recommend the brand. The Net Promoter Score is measured by the percentage of promoters subtracted from the percentage of detractors. The key argument is that the ill effect of negative words of mouth reduces the good effect of positive words of mouth. While the concept has proven to be useful for tracking loyalty, the simple subtraction might leave behind some important insights. When a brand stays true to its DNA and consistently pursues its target segment, the brand polarises the market. Some become lovers, and others become haters of the brand. However, in the context of connectivity, negative advocacy might not necessarily be a bad thing. In reality, sometimes a brand needs negative advocacy to trigger positive advocacy from others. Without both positive and negative advocacy, the brand's conversations would be dull and less engaging. Great brands do not necessarily have significantly more lovers than haters. McDonald's, for example, has 33 percent of lovers and 29 percent of haters, a near balanced polarization. Starbucks has a similar profile: 30 percent of lovers and 23 percent of haters. Any brand that has strong characters and DNA would likely be unpopular with a certain market segment. These brands should aim to have the ultimate sales force who are willing to guard the brand in the digital world.

14.5.7. Mapping the customer path to purchase

Today, customers are able to evaluate brands within no time because of high mobility and connectivity. Both online and offline customers are exposed to product features, brand promises, and sales chat through multiple channels. Customers are sometimes perplexed by this, and they tend to ignore and prefer trustworthy sources of advice: their social circle of friends and family. As a result, multiple touchpoints and a high volume of messages cannot be converted into stimulus; rather, they must stand out by meaningfully connecting with customers at critical touchpoints, which may be few. Single moment of unexpected delight from a brand can transform a customer into the loyal advocate. It is, therefore, crucial for companies to map the customer's path to purchase, understand customer touchpoints across the path, and intervene at select touchpoints. Intensified communications, strong channel presence, and regular customer interface can help to tap critical touchpoints besides strong differentiation. Delighted customers have to be the ultimate goal who can be converted into loyal advocates, as peer-to-peer conversation among customers is the most effective form of media. The best source of influence is the army of customers turned advocate.

14.5.8. Paradigm Shift from Four A's to Five A's

AIDA was first adopted in the fields of advertising and sales by E. St. Elmo Lewis, to describe the customer path: *attention, interest, desire, and action*. Advertising executives designed advertisements on the AIDA model, and sales executives referred to it when they approached prospects. Similar to the four P's of marketing (product, price, place, and promotion), AIDA has undergone several expansions and modifications. Derek Rucker of the Kellogg School of Management offers a modification of AIDA that he calls the four A's: *aware, attitude, act, and act again*. In this framework, the interest and desire stages are simplified into an attitude and a new stage, *act again*. The modified framework tracked post-purchase customer behaviour and measured customer retention. The four A's also reflect a primarily personal path. The major influence on customers' decision making as they move across the path comes from companies' touchpoints (e.g., advertising on electronic media at the *aware* phase, salesperson at the *act* phase, service centre at the *act again* phase). However, in the era of hi-tech connectivity, the straightforward and personal funnel-like process of the four A's needs an update as the five A's: *aware, appeal, ask, act, and advocate*.

In the *aware phase*, customers are passively exposed to a long list of brands from past experience, marketing communications, and/or the advocacy of others. Customers then process all the messages they are exposed to creating short-term memory or amplifying long-term memory and become attracted only to a short list of brands. This is the *appeal phase*. Memorable brands with wow factors are more likely to enter and even go higher on the short list. Prompted by their curiosity, customers usually follow up by actively researching the brands they are attracted to for more information from friends and family, from the media, and/or directly from the brands. This is the *ask* stage. Today, the *ask* is further complicated by the integration of the digital (online) and physical (offline) worlds. The customers browse through to search for information on their mobiles. They may go to multiple

channels for more information. At the *ask* stage, the customer path changes from individual to social. Decisions are based on what customers take away from the conversation with others. If they are convinced by further information in the *ask* stage, customers decide to *act*. It is important to remember that the desired customer actions are not limited to purchase actions. After purchasing a particular brand, customers interact more deeply through consumption and usage as well as post-purchase services. Brands need to engage customers and make sure that their total ownership and usage experience is positive and memorable. When customers have problems and complaints, brands need to pay attention and make sure the customers receive solutions. Over time, customers may develop a sense of strong loyalty to the brand, as reflected in retention, repurchase, and ultimately advocacy to others. This is the *advocate* stage. Active advocates spontaneously recommend brands they love without being asked.

The five A's stages are not always simple, and occasionally they even spiral. Depending on number of customers pass through each stage on the path from aware to advocate, it may widen or constrict. This new customer path might also take the form of a spiral, with customers returning to earlier phases and forming a feedback loop.

14.5.9. Driving from Awareness to Advocacy: The O Zone (O3)

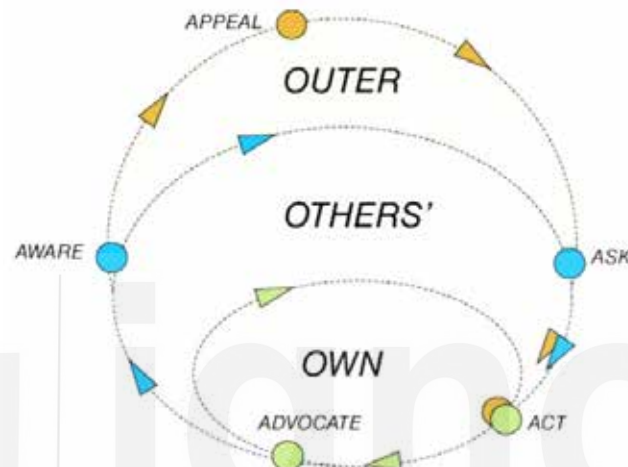
Driving customers from awareness to advocacy is the ultimate aim of Marketing 4.0's. There are three basic types of influence that marketers might utilise to this end. Customers typically combine their *own influence*, *others' influence*, and *outer influence* to shape their decisions regarding the five A's. External factors are the source of the outer influence. Brands purposefully start it through marketing and other forms of communication. It might also come from other points of contact such as salespeople and customer service representatives.

Similarly, it comes from a close circle of friends and family as word of mouth. *Others' influence* can also come from a broader but independent community to which customers belong. Among many segments, the youth, women, and netizens (YWN) are the most influential. Despite a brand's effort, it is essentially difficult to manage and control the outcome of *others' influence*. The only way for a brand to do so is through community marketing. Companies cannot directly control the conversation within the community, but they may facilitate discussion with the help of loyal customers.

Similar to that, it spreads through word of mouth among close friends and family. Customers who are part of a larger, independent community may also have influence of that groups. The three groups with the greatest influence are young people, women, and netizens (YWN). It is inherently difficult to regulate and control the outcome of other people's influence, despite a brand's best efforts. A brand can only do this through community marketing. Businesses cannot directly influence community discourse, but they can encourage it with the support of committed customers. Own influence, on the other hand, originates from within. It comes from prior exposure to and interaction with several brands, individual assessment and evaluation of the brands, and personal preference for the selected brand (s).

In order to learn as much as they can about a select group of brands, customers *ask* about recommendations from others and other sources. Marketers have a window of opportunity to raise brand favourability during the *ask* stage. Customers *actively* shape their own opinions of brands over time. They have an open mindset at this point since they are no longer apprehensive of external pressure to purchase. The favoured brands will be those that provide a better consumer and user experience. At the *ask* and *act* phases of the five A's, customers are most inclined to be influenced.

Figure 14.2: The O Zone across the Customer Path



Source: Philip Kotler, Hermawan Kartajaya, and Iwan Setiawan (2017). *MARKETING 4.0 Moving from Traditional to Digital*

The O3 is yet another instrument that aids marketers in optimizing their marketing strategies, as shown in figure 14.2. Marketers will be able to choose which activities to concentrate on after they are able to recognise the significance of outer, others', and own influence. Marketers can concentrate more on marketing communications initiatives when *outer* influence is more significant than the other factors. On the other side, marketers should rely on community marketing initiatives when *others'* influence is crucial. However, marketers should place more of an emphasis on creating a positive post-purchase customer experience when *own* influence is the most crucial factor.

14.6 SUMMARY

Customers can create a service using self-service technologies (SSTs) without the direct involvement of a service employee. However, as SSTs become more integrated into people's daily lives, service providers must embrace the power of human-centric marketing even more. The unit explain the importance of customer relationship management. Retaining customers is of great significance for a service company's growth and profitability. As the customer stays with the organization, he becomes profitable by an increase in purchasing, reduced operating costs, price-premium, and through referrals. The unit further discusses the emerging issues of service marketing such as connectivity, the f-factor in marketing communication, advocacy, and mapping the customer path to purchase. Customers'

behaviour is changing as a result of connectivity and online communities in the digital age. The concept of 5 A's and O 3 were discussed in view of connected world. The ultimate aim of service firms is to drive customers from awareness to advocacy. In doing so, marketers should leverage three main sources of influence—own, others', and outer influence.

14.7 KEY WORDS

Customer relationship management (CRM) enables service providers to provide a unified customer interface that allows for customization and personalization.

Net Promoter Score is measured by the percentage of promoters subtracted from the percentage of detractors.

Self-service technologies (SSTs) enable customers to create a service without any direct involvement of a service employee.

14.8 SELF ASSESSMENT QUESTIONS

- 1) What are the benefits to a service organization in retaining its customers? Discuss with the help of examples
- 2) Discuss the scope of Self-service technologies (SSTs) with their benefits and drawbacks
- 3) Briefly analyse the emerging trends of the marketing of services.
- 4) Discuss the relevance of 5A's as an emerging trend.

14.9 PROJECT QUESTION

Select a service company that you are familiar with.

- a) Determine a customer's lifetime value for this company.
- b) Analyse the influence of the emerging trends discussed in the unit on the business of the chosen service firm.

14.10 FURTHER READINGS AND REFERENCES

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